

KNOWLEDGE OF BANKING REGULATION AND FRAUD AWARENESS

Service Executive Conversion Programme



VISION

To be Africa's
Bank of First
Choice



MISSION

To remain true to our
name by providing the
best financial
services possible



CORE VALUES

Entrepreneurship
Professionalism
Innovation
Customer Centricity

Course Overview



This course provides knowledge on the regulatory regime/framework surrounding the banking industry in Nigeria. It discusses the role of regulatory bodies, the legal framework upon which they were set up as well as sanctions for non-compliance.

In addition, research reveals that a major contributing factor to corporate fraud is simply a lack of awareness of it – i.e. how to recognize/detect fraud easily and then proceed to put in place preventive controls. This course is also intended to instil in participants a sense of responsibility – i.e. to comply with the law and report misconduct, and to make them aware of fraud so that it can be detected early (wherever it occurs) and nipped in the bud.

Competency Addressed

- ☐ Regulatory and Industry Knowledge
- ☐ Macroeconomics & Financial Literacy

Individual Outcome

Understand the regulatory environment and regulatory agencies that drive the environment

Recognize their personal responsibilities in regulatory compliance and mitigating risks of infractions

Interpret the effect of changing regulations on the Bank's operations.

Identify and discuss key regulations and provisions applicable to the banking industry

Differentiate clearly between errors, frauds and various forms of financial misappropriations that might occur in the Bank.

Understand the impact of fraud on the Bank's business and reputation in making simple business decisions.

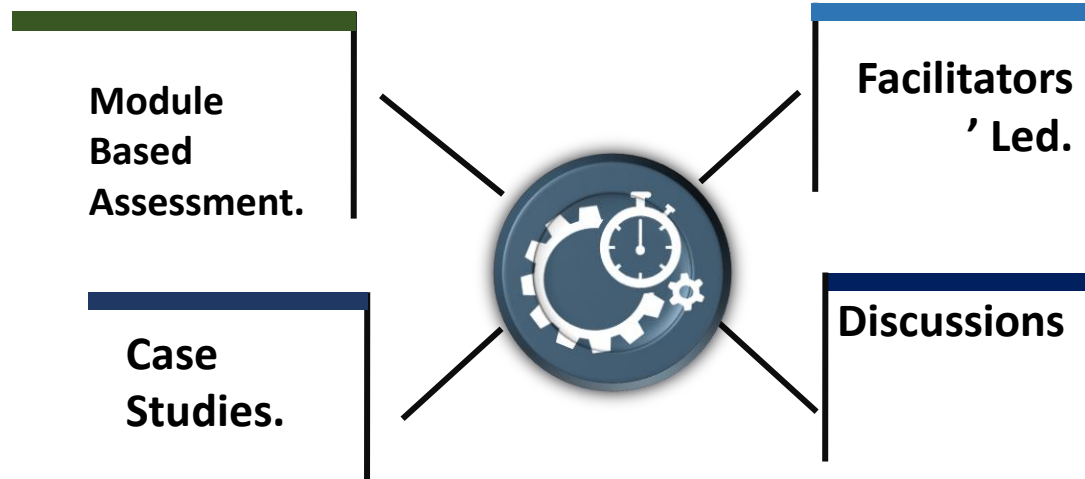
Business Outcome

Overall reduction in incidents of regulatory infractions and/or sanctions for non-compliance with specific regulatory provisions.

Improved ratings issued by regulatory bodies thus promoting the image of the Bank (the brand) across the industry.

Reduced fraud occurrences in transactions handled by Graduate Trainees translating directly to a robust bottom-line for the Bank and a boost in the Bank's image.

Mode of Delivery



Presentations Topics – Module 1 - INTRODUCTION

- ☐ Regulation and Overview of the Regulatory Environment
(Regulatory bodies and their Oversight Functions)
- ☐ Objectives and Strategy of Policy
- ☐ Overview of the Banking Regulatory Framework
- ☐ General Principles of Banking
- Case Study

Presentations Topics – Module 2 – INSTRUMENTS AND REQUIREMENTS OF BANKING REGULATIONS

- ☐ CBN Monetary and Credit Policy Measures
- ☐ CBN Foreign Trade and Exchange Policy Measures
- ☐ Other CBN Policy Measures
- ☐ Case Study

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

- ☐ Conceptual Framework
- ☐ The Fraud Triangle, Fraud Pentagon and Others
- ☐ The Fraud Tree
- ☐ Fraud Risk Assessment
- ☐ Case Study

Presentations Topics – Module 4 BANK FRAUD AND INTERNAL CONTROL

- ☐ Types of Corporate Fraud
- ☐ Understanding of Banking Fraud
- ☐ Banking Operations Fraud
- ☐ E-Banking Fraud Typology
- ☐ Credit and International Banking Fraud
- ☐ Fraud Control and Treatment

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

- ☐ The Spirit of Compliance
- ☐ Statutory and Regulatory Framework
- ☐ The Hard and Soft Compliance Framework
- ☐ Risk-Based Approach to AML/CFT
- ☐ Case Study

Presentations Topics – Module 6 – CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

- ☐ The Principles of Customer Due Diligence
- ☐ The 20 Essentials of Customer Due Diligence
- ☐ The 4 Pillars of Customer Due Diligence
- ☐ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence
- ☐ Suspicious Transaction Report/Suspicious Activity Report(SAR/STR) Framework
- ☐ Case Study

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

- ☐ Risk-Based Supervision
- ☐ Credible Deterrence
- ☐ Personal Liability
- ☐ Senior Managers & Certification Regime
- ☐ Fin Tech & Compliance Future
- ☐ Case Study

Module 1- Regulatory & Industry Knowledge

- ❑ **Banking Regulation in Nigeria embodies various legislations and supervisory regulations for:**
- a) High level governance and supervision of banks and Financial Institutions (FIs)
 - b) Effective legislation to govern the operations of Banks and FIs
 - c) Roles and responsibilities of the Regulatory bodies
 - d) Meeting international standards within the Banking System
 - e) Licensing qualified bodies to provide Banking services.
 - f) Design appropriate rules on liquidity, foreign exchange requirements, liquidation
 - g) regimes and recent trends in the regulation of banks

The Banking System is therefore a set of **complex and closely connected processes by which money flows from Savers to Users**. It is **designed to** incorporate regulatory requirements and relevant guidelines to ensure that the banks and customer's interests are protected.

The banking system is consequently highly regulated to manage identified risks and ensure that sanity is maintained. All banks work within a framework of rules determined by law and by their business focus, structure, and specialization.

When regulations change, the bank's operational framework must adapt, and this may impact its ability to generate profits. For example, the Central Bank may increase the cash reserve requirement thereby making such funds unavailable for transaction purposes. This decreases the amount of bank funds available for lending, which may reduce profit.

Module II- Regulatory & Industry Knowledge – Objectives of Strategy & Monetary Policy

Objectives and Strategy of Monetary Policy

- ❖ Dr. Uchendu, Director, Monetary Policy Department of CBN in the past stated that:
 - a. Monetary policy is the tool for Monetary management
 - b. The task of monetary management is performed by the CBN on behalf of the government.
- ❖ Therefore, the burden of controlling the financial system, is on CBN, NDIC and other Financial Regulators. Annually, the CBN issues a document known as **“Monetary, Credit, Foreign Trade and Exchange Policy Guidelines”** to:
 - a. Guide the operations of all the Banks and Financial Institutions.
 - b. Outline the objectives and strategy of the monetary policy of the Government.
- ❖ It was further stated that the Stance/direction of monetary policy is dictated prevailing economic situation and Policy Objectives e.g.:
 - Price stability
 - Sound financial system
 - Balance of payments viability and
 - Economic growth and development.
- ❖ The strategies to achieve the above policy objectives include the use of:
 - Guiding Banks of the Credit Ceilings
 - Sectoral credit allocation: Open Market Operations to control Liquidity.
 - Interest and exchange rates controls.
 - Moral suasion i.e., appeal to Bankers through the Bankers Committee.
 - Request for special deposits from Banks to control Liquidity in the System

Module 1- Regulatory & Industry Knowledge

Regulators, what they Regulate and the Legal Instruments

Regulators	What They Regulate	Their Legal Instruments (As Amended)
CBN	License & Operations	Bank Act 1969 /1972
NDIC	Deposit Insurance	NDIC Act 22. 1988
NDLEA	Money Laundering	NDLA Act 1995
SEC	Capital Market / Brokers	SEC Act.
NSC	Capital Market / Brokers	NSE Act / Constitution
FIRS	Taxation / Tax Payers	Annual Fiscal Policies
EFCC	Financial Crime	EFCC Act 2004
NIBSS /RTGS++	Funds Transfer	CB Monetary Policies
CIBN**	Bankers	CIBN Charter

KEY: ++ NIBSS means Nigeria Interbank Settlement System. RTGS means Real Time Gross Settlement

**** CIBN means Chartered Institute of Bankers of Nigeria**

Module 1- Regulatory & Industry Knowledge – Regulatory Bodies & Their Oversight Functions

Bank Regulatory and Supervisory Authorities in Nigeria: Roles of CBN

Statutory Roles

1. Issues and Revokes Banking Licence
2. Issues monetary and policies guidelines to banks
3. Bankers to the Federal Government
4. Manage the National Currencies
5. Supervision of Nigerian Banks

Supervisory Roles

1. Promotes monetary stability
2. Open Market Operations
3. Controls liquidity in the system
4. Debt Instruments Custodian e.g. T/Bills, Stabilization Sec.
5. Monitors CRR and LR
6. Issues Prudential Guidelines
7. Lender of last Resort to Deposit Money Banks
8. Issues Monetary Guidelines

Bank Regulatory and Supervisory Authorities: Roles of NDIC

Statutory Roles

1. Supervisory role over failing or failed Banks
2. Appoints Managers to run the affairs of failing banks
3. Alternate Examiner of Deposit Money Banks



Supervisory Roles

1. Insurer of banks' Deposit Liabilities
2. Collect Premium of 15/16 of 1% of banks' deposit liabilities
3. Waive premium on deposits made by Directors, Workers and (deposits used by Customers as collateral for loans).
4. If a bank fails, first payment is **N5,000,000** -Deposit Money Bank (DMB) and Primary Mortgage Bank (PMB) clients, **N2,000,000** -Micro Finance Bank (MFB) Clients and, **N500,000** (Mobile Money Operators (MMO) subscribers per DMB.

Module 1- Regulatory & Industry Knowledge – Overview of the Banking Regulatory Framework

Banking Business

“According to BOFIA, Banking business means the business of receiving deposits on current accounts, savings accounts, or other similar accounts, paying or collecting cheques, drawn by or paid in by customers, provision of finance or such other business as the Governor (CBN) may, by order published in the Gazette designated as banking” (Banks and other financial institutions Acts No. 25, 1991)”

See the highlights or coverage on the next slide:



Module 1- Regulatory & Industry Knowledge – Overview of the Banking Regulatory Framework

BOFIA Extracts – Relevant to Banks.../1

Section 1: Functions, powers, and duties of the Central Bank of Nigeria

Section 2: Banking Business and companies that can hold banking license

Section 6. Opening and closing of branches

Section 7: Restructuring, re-organisation, mergers, and disposal etc. of banks-

Section 9: Minimum paid-up share capital to run a Bank in Nigeria.

Section 12: Revocation banking of license.

Section 13: Minimum capital adequacy ratio (CAR)

Section 14: Minimum holding of cash reserves

Sections 15 & 16: Maintenance of reserve fund

Sections 17: Disclosure of Interest by the Stakeholders

Section 18: Prohibition of interlocking directorship, etc.

Section 19: Restriction on certain banking activities e.g., loans and single obligor limit

Section 21: Restriction on operations of merchant banks

Section 22: Requires every bank to display lending deposit interest rates.

Section 23: Proper Books and Records of Account

Section 24: Returns by banks: monthly, quarterly, or annually.

Section 26: Publication of financial statements

Section 29: Exclusive Regulatory and Supervisory Powers

Module 1- Regulatory & Industry Knowledge – Overview of the Banking Regulatory Framework

BOFIA-Extracts (Relevant to Banks).../2

Section 33: Special Examination

Section 34: Intervention powers in failing bank

Section 36: Resolving systemic banking crisis

Section 41: Asset separation tool

Section 44: General restriction on advertisement

Section 46: Prohibition of the receipt of commissions etc. by staff of banks.

Section 47: Disqualification and exclusion of certain individuals from Mgt. of banks

Section 49: Offences by directors and managers of banks

Section 50: Penalties for offences not otherwise provided for

Section 51: Protection against adverse claims

Section 52a: Jurisdiction of the Federal High Court

Section 52b: Supremacy of BOFIA

Section 55: Priority of deposit liabilities

Section 56: Power to make regulations

Section 64: CONSOLIDATED SUPERVISION

Module 1- Regulatory & Industry Knowledge – Overview of the Banking Regulatory Framework

BOFIA-Extracts (Relevant to Banks).../3

Section 66: Anti-Money Laundering and Combating Financing of Terrorism(AML/CFT)

Section 67: Corporate Governance and Ethics

Section 70: Designation of Systemically important banks

Section 71: Restrictions on operations of Agents of banks

Section 72: UNCLAIMED FUNDS OR ABANDONED PROPERTY

Section 74: Establishment of Banking Sector Resolution Fund

Section 78: Purpose of Resolution Fund

Section 97: Power to freeze accounts

Section 99: Power to impose and review penalties

Section 100: Power to grant exemptions

Section 101: Power to charge fees

Section 102: Special Tribunal for the Enforcement and Recovery of Eligible Loans

Section 103: Highlight of the Members of the Special Tribunal set up in Section 102.

Module 1- Regulatory & Industry Knowledge – Overview of the Banking Regulatory Framework

Summary of updates to BOFIA 2020

- ❖ Foreign Banks that are not licensed in their country can no longer operate in Nigeria
- ❖ CBN Consent must be obtained before a significant percentage of a Bank's Shares can be transferred.
- ❖ Foreign or Local Banks that want to operate outside Nigeria (offshore operation) must obtain CBN approval.
- ❖ Unlicensed Financial institutions can no longer operate in Nigeria.
- ❖ Fin-techs or Open Banks or Digital Banks are now governed by the 2020 BOFIA and are to be regulated by the CBN.
- ❖ Banks are now to set aside 10% of their funds for crisis resolution.
- ❖ Credit Tribunal are now set for recovery of Bank Loans.

Other Relevant Organization: AMCON

- ❖ AMCON is the acronym for "Asset Management Corporation of Nigeria"
- ❖ It was established on the 19th of July 2010 through "AMCON Act."
- ❖ AMCON was created to be a key stabilizing and re-vitalizing tool aimed at resolving the non-performing loan assets of the banks in Nigerian.
- ❖ The Act establishing the body permits, as part of its operation to set aside a sinking fund with an annual ₦50 billion contribution by the Central Bank of Nigeria and 0.3% of total asset value of all the commercial banks over the useful life of the corporation. The money from this fund would be used to purchase FG securities and the returns from this investment will be returned to the account and then redistributed among the contributing commercial banks.
- ❖ The fund is administered by a consortium of members from the participating banks which will be rotated annually.

Module 2- Instruments and Requirements of Banking Regulations

- ❖ The Monetary Policy Committee (MPC) also play a significant role in the Financial Stability of the country by ensuring that the “Objectives and Strategy of monetary policies” are achieved.
- ❖ They meet monthly to consider the following economic indicators:
 - Inflation- (As at December 20, 2024- 34.6% -NBS)
 - Exchange-Nigerian Foreign Exchange Market (NFEM) Rate (As of December 20, 2024- N1,536.92/\$ -CBN)
 - Growth Rates- Projected to be 2.9% for 2024 by IMF
 - Capital market median earnings
 - Monetary Policy Rate (MPR)- (As of December 20, 2024- 27.5% -CBN)
 - External Reserve-\$40,240 USD Million in November 2024- CBN
 - ▪ Cash Reserve and Liquidity Ratios- As of December 20,2024, by CBN are:
 - Cash Reserve Ratio CRR-50% for Deposit Money Banks (DMBs) and 16% for Merchant Banks
 - Liquidity Ratio (LR): 30%
 - (The CRR is the minimum percentage of a bank's total deposits that must be held in cash or as deposits with the central bank. The LR is a rule that ensures banks keep a certain amount of their money in easily accessible forms.)
 - ▪ Interbank Rate and Average Open Buy Back (OBB)
- ❖ There are 13 Members. The CBN Governor is a Member and Secretary.
- ❖ Each member has 1 Vote and the Majority decides their respective decisions.

Module 1- Regulations & Overview of the Regulatory Environment

– General Principles of Banking

1. The Principles of Banking Regulation in Nigeria is based on:

- a) **Banking License in Nigeria:** Only CBN has Statutory Authority on issuance.
- b) **Market Discipline:** Full disclosure of activities must be made as at when due and in the required format by Banks and Financial Institutions.
- c) **Prudential requirements:** To prevent avoidable risks Banks are required to disclose their exposure specific sectors of the economy.

These include: i. maintaining minimum capital ratios / Minimum liquidity ratio Loan to deposit ratio

ii. Single obligor limits – maximum loan that a bank can lend to a single Borrower.

iii. Ratio of non-performing loans to total loans etc.

d) **Distress Resolution processes:** The arrangements which usually involve CBN and NDIC must be done in the best interest of bank depositors and the economy

2. The objectives of bank regulation, and the emphasis, vary between jurisdictions, the most common being:

- **Prudential** – to reduce the level of risk to which bank creditors are exposed (i.e. to protect depositors)
- **Systemic risk reduction:** to reduce the risk of disruption resulting from adverse trading conditions for banks causing multiple or major bank failures
- **Avoid misuse of banks:** to reduce the risk of banks being used for criminal purposes, e.g., Money laundering & terrorism
- **Protect banking confidentiality**
- **Credit allocation:** to preclude directing credit to favored sectors
- **Ethics:** It may also include rules about treating customers fairly and having corporate social responsibility (CSR)

Module 1- Regulations & Overview of the Regulatory Environment

– General Principles of Banking

Minimum Requirements

To ensure compliance with the Regulation, the Banks and Financial Institutions are expected to meet the following **minimum Requirements through a recent CBN circular dated 28th March 2024,:**

1. Capital Requirements to be fulfilled by March 31, 2026:

- a) Banks with International Authorization like FBN – N500 Billion
- b) Banks with National Authorization like Wema Bank – N200 Billion
- c) Banks with Regional Authorization like Sun Trust Bank – N50 Billion
- d) Merchant Bank like Coronation – N50 Billion
- e) Non-Interest Banks with National Authorization like LOTUS Bank – N20 Billion
- f) Non-Interest Banks with Regional Authorization – N10 Billion

2. Minimum Cash Reserve Requirements (CRR) – Currently 50%/16% of Deposits Liability for DMB and MB respectively.

3. Liquidity Ratio (LR) – Currently 30% of Total Assets

4. Maintenance of Statutory Cash Reserve Ratio: Every Bank must set aside part of its Profit after Tax (PAT) known as “Statutory Cash Reserve” as shown below for the future:

- i. If Reserve is less than Minimum Paid Up Capital – Charge 30% of PAT
- ii. If Reserve is greater than or equals to Minimum [Paid Up Capital – Charge 15% of PAT
- iii. No transfer is required until all past year’s losses have been made good.

Module 1- Regulations & Overview of the Regulatory Environment

– General Principles of Banking

5. Prudential Guidelines

- a. The Prudential Guidelines were introduced in 1990 and amended in 2019. They were meant to guide asset classification and loan loss provisioning.
- b. Please see the basis of credit classification and provision below.

6. The Credit Classification in banks revolves around the provisions made according to the prudential guidelines e.g.:

Nos.	Days Debt Outstanding	Description / Classification	% Provisions
1	0 - 180	Substandard	20%
2	181 - 360	Doubtful	50%
3	Above 360	Lost	100%
4	General provisions for Performing /Good Loans	Performing	2%

Module 1- Regulations & Overview of the Regulatory Environment

– General Principles of Banking

Supervisory Review

The Basel Committee designed the 29 standard or core principles of effective banking supervision in a separate article in September 1997. The principles were categorized into the following 4 distinct areas all which Nigeria has complied with:

1. Legal and institutional structure for the implementation of public policy to promote public interest over individual rights in the financial services sector.
2. Regulatory structure regarding the formulation of laws, prescriptions, guidelines for entry requirements, capital requirements, accounting and disclosure provisions and risk management guidelines.
3. Supervisory structure to ensure that Banks and Financial Institutions adhere to rules and regulations.
4. Safety net arrangement for:
 - a) Handling liquidity and solvency difficulties that can affect individual banking institutions or the banking system as a whole and
 - b) For the sharing of financial losses that can occur (e.g., deposit insurance scheme or winding-up procedures).

End of Module 1

Presentations Topics – Module 2 – INSTRUMENTS AND REQUIREMENTS OF BANKING REGULATIONS

- ☐ CBN Monetary and Credit Policy Measures
- ☐ CBN Foreign Trade and Exchange Policy Measures
- ☐ Other CBN Policy Measures
- ☐ Case Study

Module 1- Regulations & Overview of the Regulatory Environment

– General Principles of Banking

❑ Market discipline

- a) **Market Discipline** is a market-based promotion of transparency and disclosure of the risks associated with a business or entity.
- b) It works in concert with regulatory systems to increase the safety and soundness of the market.
- c) The onus is on the banks, financial institutions, sovereigns, and other major players in the financial industry to conduct business while considering the risks to their stakeholders
- d) Disciplinary mechanisms through market forces reward banks that are managed effectively while penalizing those whose management is weak or ineffective, thereby strengthening incentives for banks to behave in a prudent and efficient manner

Module 2- Instruments and Requirements of Banking Regulations – CBN Monetary and Credit Policy Measures

- ❑ The three monetary measures are: Open market operations: The purchasing and selling of Government securities. Discount rate: The short-term loans charged by the central banks. Reserve requirements: Deposit portions maintained by the bank.
- ❑ The Monetary Policy Committee (MPC) also play a significant role in the Financial Stability of the country by ensuring that the “Objectives and Strategy of monetary policies” are achieved. There are 13 Members. The CBN Governor is a Member and Secretary. Each member has 1 Vote and the Majority decides their respective decisions.
- ❑ In May 2025, the CBN's Monetary Policy Committee (MPC) unanimously decided to maintain the Monetary Policy Rate (MPR) at 27.50% and hold the Cash Reserve Ratio (CRR) at 50% for Deposit Money Banks and 16% for Merchant Banks.
- ❑ The Monetary Policy Committee (MPC) also retained the asymmetric corridor at +500/-100 basis points and the Liquidity Ratio at 30%. These decisions were made to monitor the impact of previous policy tightening and global economic uncertainties.
- ❑ The CBN noted improvements in the foreign exchange market, including a narrowing gap between the official and parallel market rates, and a positive balance of payments position.
- ❑ The committee also observed a moderation in food inflation due to government measures to increase food supply and address insecurity.
- ❑ **Key Policy Decisions:**
 - ❖ MPR: Held at 27.50%.
 - ❖ CRR: Remained at 50% for Deposit Money Banks and 16% for Merchant Banks.
 - ❖ Asymmetric Corridor: Remained at +500/-100 basis points around the MPR.
 - ❖ Liquidity Ratio: Remained at 30%.

Module 2- Instruments and Requirements of Banking Regulations – CBN Monetary and Credit Policy Measures

❑ **Rationale:**

- ❖ The MPC aimed to assess the impact of previous monetary policy tightening on the economy.
- ❖ They also considered the potential effects of global economic uncertainties on the domestic economy.
- ❖ The Committee expressed satisfaction with the narrowing gap between the official and parallel foreign exchange rates and the positive balance of payments position.
- ❖ They also noted the gradual moderation in food inflation, attributed to government interventions and efforts to address insecurity.
- ❖ Future Outlook:
- ❖ The CBN will continue to monitor domestic and global economic developments to inform future policy decisions.
- ❖ The next MPC meeting is scheduled for July 21-22, 2025.
- ❖ The CBN is committed to maintaining price stability and fostering sustainable economic growth.

❑ **Other Key Developments in the Domestic and Global Economies**

- ❖ According to the National Bureau of Statistics (NBS), headline inflation (year-on-year) declined to 23.71 per cent in April 2025, compared with 24.23 per cent in March 2025. On a month-on-month basis, it also declined to 1.86 per cent in April 2025, from 3.9 per cent in the previous month.
- ❖ Both food and core components contributed to the decline in inflation in the period. Food inflation eased further to 21.26 per cent in April 2025 from 21.79 per cent in the previous period. Core inflation also declined to 23.39 per cent in April 2025, compared with 24.43 per cent in March.

Module 2- Instruments and Requirements of Banking Regulations – CBN Monetary and Credit Policy Measures

❑ Other Key Developments in the Domestic and Global Economies (CONTINUED)

- ❖ According to the National Bureau of Statistics (NBS), headline inflation (year-on-year) declined to 23.71 per cent in April 2025, compared with 24.23 per cent in March 2025. On a month-on-month basis, it also declined to 1.86 per cent in April 2025, from 3.9 per cent in the previous month.
- ❖ Both food and core components contributed to the decline in inflation in the period. Food inflation eased further to 21.26 per cent in April 2025 from 21.79 per cent in the previous period. Core inflation also declined to 23.39 per cent in April 2025, compared with 24.43 per cent in March.
- ❖ Real GDP (year-on-year) grew by 3.84 per cent in the fourth quarter of 2024, compared with 3.46 per cent in the preceding quarter.
- ❖ Gross external reserves increased by 2.85 per cent to US\$38.90 billion as at 16th May 2025, from US\$37.82 billion at end-March 2025. This represents an import cover of 7.6 months for goods and services. The balance of payments (BOP) recorded a surplus of US\$1.10 billion in the fourth quarter of 2024, compared with US\$4.21 billion in the preceding quarter, on account of moderation in current account surplus.
- ❖ Although global output growth is expected to remain positive despite existing and emerging headwinds, the International Monetary Fund (IMF) downgraded its global growth forecast to 2.8 per cent in 2025 and 3.0 per cent in 2026, compared with 3.3 per cent in 2024 due to the uncertain policy environment.

❑ Introduction

- ❑ The Global crisis of 2007 and 2010 exposed the Regulatory Deficiencies of the Capital Requirements of Banks as follows:
 - i. Capital requirements have no buffers.
 - ii. Liquidity requirements were not firm enough.
 - iii. Leverage requirements (borrowed capital by banks) were weak.
- ❑ The Basel Committee, through the release of Basel III therefore recommended the following steps to correct the anomalies:
 - ❖ The risk coverage of the capital framework was strengthened
 - ❖ Introduction of leverage ratio i.e., borrowed capital that banks can use in their operations on the basis of gross exposures.
 - ❖ Banks were directed to set money aside during the “good times” to take care of themselves during the “bad times” - make high provisions during the time of boom.
- ❑ The Central Bank of Nigeria (CBN), in compliance with the Basel III standards therefore:
 - i. Develop appropriate Guideline on Regulatory Capital for Deposit Money Banks.
 - ii. Sets Supervisory requirements for all banks operating in Nigeria in relation to minimum regulatory capital
 - iii. Adjustments to the components of regulatory capital
 - iv. Transitional arrangements
 - v. Disclosure requirements and
 - vi. Additional capital buffers above the minimum requirements.

❑ Financial Reporting

- ❖ Full disclosure requirements are the mandatory financial, operational and management information, which financial institutions are required to disclose in the rendition of their periodic returns to the regulatory authorities and the public. The process has to do with ensuring the integrity of data in the rendition of reports to the supervisory authority and the public to enable them to ascertain the true financial position and performance of deposit money banks.
- ❖ The full disclosure measures as directed by the CBN are primarily meant to further entrench sound corporate governance in the financial system where accountability, transparency and prudence are the grand norm.
- ❖ The intention of the CBN is to provide users, including investors and depositors, with requisite information to enable them to evaluate the financial position, performance, and operations of banks with a view to taking well-informed decisions

❑ Financial Reporting

CBN's aim is to have in place a full disclosure regime that will put the nation's banking industry at par with best practice and international standards. The measure is in tandem with best practice and in pursuant for the attainment of the world acclaimed requirements of BASEL 11 and International Financial Reporting Standards (IFRS).

❖ Rationale for Full Disclosure:

- The objectives of introducing the full disclosure requirements are essentially to provide economic agents (depositors and investors) and other stakeholders with appropriate information to assist them in evaluating the financial positions and performances of banks and to enable them to obtain better understanding of unique characteristics of the operations of banks.
- In view of this, an over-arching and implicit objective of banking regulation and supervision is to ensure the emergence of a strong, safe, stable, and reliable banking system that will engender and sustain the confidence of depositors and other stakeholders.

❖ Benefits of Disclosure:

- Enhances the integrity of banks
- Reduces the reputational risks that could lead to loss of confidence and patronage.
- Helps to reduce market uncertainty and limit the risk of unwarranted contagion.
- Helps to further promote market discipline.
- Strengthens banks to play their intermediation role in the economy.
- Assist all stakeholders to evaluate the true and fair positions of the banks and confidently take informed decisions about them.

☐ **Financial Reporting Council of Nigeria**

- ☐ The Financial Reporting Council of Nigeria (FRCN) is a Federal Government agency established by the Financial Reporting Council of Nigeria Act 2011. The FRCN, formerly the Nigeria Accounting Standards Board (NASB), is an organization charged with, among other things, developing, setting and publishing accounting and financial statements standards in Nigeria and for related matters.
- ☐ The Council is responsible for enforcing compliance with accounting, auditing, corporate governance, and financial reporting standards in Nigeria. The Council also gives guidance on issues relating to financial reporting and corporate governance to professionals, institutional and regulatory bodies
- ☐ in Nigeria.
- ☐ FRCN main objects, as defined in its establishment Act, are to:
 - ❖ Protect investors and other stakeholders' interest
 - ❖ Give guidance on issues relating to financial reporting and corporate governance to professional, institutional, and regulatory bodies in Nigeria
 - ❖ Ensure good corporate governance practices in the public and private sectors of the Nigerian economy
 - ❖ Ensure accuracy and reliability of financial reports
 - ❖ Harmonize activities of relevant professional and regulatory bodies relating to corporate governance and financial reporting.
 - ❖ Promote the highest standards among auditors and other professionals engaged in the financial reporting process.
 - ❖ Enhance the credibility of financial reporting; and Improve the quality of accountancy and audit services, actuarial valuation and corporate governance standards

❑ International Financial Reporting Standards (IFRS)

International Financial Reporting Standards (IFRS) are a set of accounting standards developed by the International Accounting Standard Board (IASB) which is the global standard for the preparation of public company financial statements.

The objective of IFRS is to ensure that an entity's first IFRS financial statement and its interim financial reports for part of the period covered by those financial statements contain high quality information that;

- i. Is transparent for users and comparable over all reporting periods
- ii. Provides a suitable starting point for accounting under IFRS
- iii. Can be generated at a cost that does not exceed the benefits to users



Publication of Annual Financial Statements

- ☐ Banks are expected to publish their annual Financial Statements in accordance with the provisions of BOFIA 2020
- ☐ Banks and other financial institutions are required, subject to the written approval of the CBN, to publish not later than three (3) months after the end of each financial year, their audited financial statements, in a national daily newspaper printed and circulated in Nigeria.
- ☐ To facilitate the implementation of consolidated supervision, all banks and their subsidiaries shall continue to adopt December 31, as their accounting year end.
- ☐ Banks are also required to publish additional disclosure statements to strengthen the incentives regime for maintaining sound banking practices.
- ☐ To enhance transparency, all banks shall continue to comply with the IFRS.
- ☐ The Board Chairman and Managing Director/Chief Executive Officer (MD/CEO) of a defaulting bank shall be held directly responsible for any breach and impose appropriate sanctions which may include the following:
 - ❖ Barring the MD/CEO from participating in the Bankers' Committee
 - ❖ Suspension of the foreign exchange dealership license of the bank and its name sent to the Nigerian Stock Exchange (in the case of a public quoted company)
 - ❖ Removal of the Chairman and MD/CEO from office if the accounts remain unpublished for twelve (12) months after the end of the bank's financial year.

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❑ Introduction

- ❖ Foreign trade is the exchange of capital, goods, and services across international borders or territories usually referred to as Import and Export. Settlement of foreign trade requires “foreign exchange” which may not be easy to access in some countries.
- ❖ The Central Bank of Nigeria formulates and implement the foreign exchange policy in Nigeria on behalf of the Federal Government. The policies are documented and communicated to the Authorized Dealers through the following:
 - a) The Annual “Monetary, Credit, Foreign Trade and Exchange Guidelines for the fiscal year”.
 - b) The CBN Circulars to update the provisions in “a” and such circulars may be issued at any time by the apex regulatory body.
- ❖ Companies and Individuals cannot buy foreign exchange directly from the CBN. Foreign Exchange Buyers must go through the Authorized Dealers e.g., Banks and BDC. Importers – individuals or companies may pay their foreign Suppliers through the “letters of credit” or “bills for collection”. E-Form M is used for Imports. Use of “NXP” form is allowed for Export Transactions.
- ❖ Companies and Individuals are allowed to buy Business Travel Allowance (BTA) or Personal Travel Allowance (PTA) using Form A. Other invisible transactions include school fees, medical expenses, dividends, consultancy fees and others.
- ❖ Banks must refer purchases or transfers above \$10,000 to CBN and NDLEA as part of anti-money laundering measures.
- ❖ Other significant policy measures and controls by CBN which can vary from year to year include:

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

- ❖ Other significant policy measures and controls by CBN which can vary from year to year include:
 - a) Monitoring of the Foreign exchange markets
 - b) Prescription of E-Form M for importation of Goods
 - c) Destination Inspection of Imports
 - d) Import Duty Payments
 - e) Export and Trade Promotion
 - f) Items that are prohibited for foreign exchange
 - g) Miscellaneous Policy Measures
- ❖ **The policies were introduced in June 2016 and amended in April 2024 with new focus:**
 - **Objectives**
 - a) Boost the liquidity and stabilize the foreign exchange market
 - b) Promote the global competitiveness of the market
 - c) Promote a market-based price discovery system in Nigeria's Foreign Exchange market,
 - d) Further deepening the foreign exchange market
 - e) Promote financial security in the market

Implementation Issues to achieve the objectives include:

- a) Appointment of Foreign Exchange Primary Dealers known as FXPDs by CBN.
- b) CBN abolished Dutch Auction System (DAS) and replace it with Primary Foreign Exchange Dealers (FXPD) regime i.e.:
 - i. CBN abolished / stopped the bidding system (DAS)
 - ii. Replaced it with Authorized Dealers buying foreign exchange from each other at market determined rate.
 - iii. CBN will continue to intervene as it deems fit.
- c) Basic foreign exchange derivatives were introduced such as ³⁸Forward, Futures and options.

Appointment of Primary Dealers - FXPD

1. FXPD applicants must meet at least 2 of the following quantitative criteria Minimum shareholder fund unimpaired by losses of at least N200 billion.
 - a) Minimum of N400 billion in Total Foreign Currency Assets.
 - b) Minimum liquidity ratio of 40%.
2. Other Criteria that the applicants must meet are:
 - a) Wide distribution networks manned by qualified and experienced FX dealers.
 - b) An FXPD applicant must deploy the Thomson Reuters FX Trading Systems, or any other systems as approved by the CBN.
 - c) Must establish a robust and independent risk management standard in the dealing room and back-offices well as tested disaster recovery plan.
 - d) Must be an active participant in the interbank FX market with good turnover ranking.
 - e) FXPD aspirants must maintain a fully computerized FX trading, reporting and settlement systems. And voice logger systems.

Mode of Application

- a) Any authorized dealer that wants to become an FXPD must submit an Expression of Interest (EOI) to the Financial Market Department of CBN.
- b) Above shall be accompanied by a letter stating that the authorized dealer shall abide by the guidelines, rules and regulations of the FX Primary Dealers market and code of conduct.
- c) The above registration is renewable annually upon meeting CBN's requirement at the time.
- d) Already registered FXPDs need not represent an expression of interest letter at renewal.

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❑ Responsibilities of the FXPD

- 1) An FXPD must be ready to participate actively during CBN interventions in the FX market.
- 2) FXPDs shall agree to provide market information and analysis that will be helpful to the FX Market and the CBN.
- 3) FXPDs must also provide two-way quotes to other FXPDs as this will facilitate price discovery in the FX market and enhance liquidity. The standard amounts, the spreads and the quotes shall be as agreed between FMDQ (Financial Market Dealer Quotes) and FMDA (Financial Markets Dealers Association).
- 4) For non-FXPDs, the FXPDs shall deal as agreed by all authorized dealers on a two-way quote basis, the standard amount and the bid-offer spreads.

❑ PERFORMANCE EVALUATION FOR FXPDs BY THE CBN

❖ Performance Evaluation for FXPDs By the CBN

- 1) The CBN shall from time to time evaluates the performance of all FXPDs on the basis of level of participation and the quality of market information half yearly.
- 2) CBN will sanction FXPDs that record low participation in terms of number of times and volume of transaction as well as the reasonability of the quotes provided through suspension or termination.

❖ Implementation Issues to Achieve the Policies

- 1) FMDQ (Financial Market Dealers Quotes) a self-regulatory non - trading body owned by all Banks including CBN was nominated to agree the standard amounts and spreads of quotes between FXPDs.
- 2) FXPDs will quote to non-FXPDs on a two-way quote basis on the standard amounts and bid-offer spreads agreed by all Authorized Dealers i.e.
 - a) Bid rate
 - b) Offer rate
 - c) Spread (which is the difference between bid and offer rate)
 - d) Official Trading hours 9am – 2pm.



Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

e) Trading outside the official trading hours

- i. Must be agreed bilaterally i.e., between the two Dealers,
- ii. Must be recorded on the FMDQ Thomson Reuters FX Trading Systems approved by the CBN.
- iii. All FXPDs shall submit a weekly report of FX transactions undertaken by them in the format advised by the CBN.

☐ **Interbank Foreign Exchange Market Operations**

- 1) Participants in the inter-bank market shall include Authorized Dealers, Authorized Buyers, Oil Companies, Oil Service Companies, Exporters, and End Users.
- 2) Authorized Dealers shall buy and sell FX among themselves on a two-way quote basis via FMDQ or any other system approved by the CBN
- 3) Authorized Dealers may offer one-way quotes (bid or offer) on all products and on request to other Authorized participants
- 4) The maximum spread between the bid and offer rates in the interbank market shall be determined by FMDQ
- 5) Proceeds of foreign investment inflows shall be purchased by Authorized Dealers at the interbank rate.

☐ **Hedging**

- 1) Hedging Products: Authorized Dealers are now permitted to offer Naira – settled non deliverables over-the-counter FX Futures.
- 2) OTC FX futures sold by authorized dealers to end-users must be backed by trade transactions (visible and invisible).
- 3) FMDQ will provide the appropriate benchmarks for the valuation and settlement of the OTC FX Futures and other FX derivatives.
- 4) Authorized Dealers may apply FX Spot transactions to hedge outright forwards, OTC FX Futures and FX options.
- 5) Settlement amounts on OTC FX Futures may be externalized for foreign portfolio investors with certificates of capital importation.

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❑ Foreign Currency Trading Position

- 1) Foreign Currency Trading Position: Authorized Dealers shall have maximum limits of +0.5% / -10% of their shareholders' Funds unimpaired by losses as foreign currency trading position limits to support their obligations
- 2) Authorized Dealers must render returns on the sales of FX daily to the CBN Inter-bank funds shall not be sold to Bureau-De-Change
- 3) Forty-one items (list with Authorized Dealers) were classified as NOT VALID FOR FX.
- 4) The applicable exchange rate for the purpose of import duty payments shall be the daily inter-bank FX closing rate

❑ CBN Interventions

1. Spot Intervention:

- a) The CBN reserves the right to intervene in the interbank market to either buy or sell FX spot upon the receipt of valid two-way quotes.
- b) CBN may also intervene in the interbank market by placing orders for non-standardized amounts in FMDQ.
- c) There shall be no predetermined spread on FX spot transactions executed through CBN.



2. Forward Intervention

- a) The CBN reserves the right to intervene in the interbank market, either buy or sell FX forwards
- b) CBN shall also offer non deliverable OTC (over the counter) FX Futures (bid or offer) daily on the FMDQ OTC FX futures
- c) OTC FX Futures shall be in non-standardized amounts and different fixed tenors which may be sold on any date
- d) FXPDs may purchase OTC FX Futures for their own accounts or sell it to other authorized dealers

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❑ CBN Interventions – (Continued)

3. CBN's Secondary Market Interventions (SMIS)- Wholesale

- a) CBN may intervene in the FX market through the sale of FX to authorized dealers.
- b) All FX Spot purchased by authorized dealers are transferable in the inter-bank FX market
- c) CBN may offer long tenor FX forwards of 6-12 months
- d) Sale of FX forwarded by authorized dealers to end users must be money backed

4. CBN's Secondary Market Interventions (SMIS)- Retail

- a) All FX spots purchased by authorized dealers for end users shall be for eligible transactions
- b) FX spot sold to any end user shall not exceed 1% of the available funds on offer at each SMIS session
- c) CBN may offer FX Forwards to end users through authorized dealers and may limit the amount sold to an individual end user
- d) All foreign exchange forward sales to end users must be trade backed
- e) There shall be no maximum spread on the sale of FX forwards by authorized dealers to end users

❑ NAIRA – YUAN CURRENCY SWAP AGREEMENT

- 1) Currency Swap is an arrangement between two friendly countries to trade in their own local currencies, paying for import and export trade at pre-determined rates of exchange without the use of a third currency like the United States dollar.
- 2) The arrangement allows a central bank in one country to exchange currency, usually its domestic currency, for a certain amount of foreign currency. The recipient central bank can then lend this foreign currency to its domestic banks

Purpose of the Bilateral Currency Swap

- 1) To finance trade and direct investment between the Peoples' republic of China (PRC) and the Federal Republic of Nigeria (FRN)
- 2) To maintain financial market stability
- 3) Enables banks in both Nigeria and China to among other purposes, make available liquidity in their respective currencies for the facilitation of bilateral trade and investments.

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❑ NAIRA YUAN CURRENCY SWAP AGREEMENT

❖ Eligibility

- 1) All Authorized Dealers shall open Renminbi accounts with a correspondent bank and advise CBN with its Renminbi accounts details which may either be with a bank onshore or offshore China
- 2) Importers intending to import from China shall obtain Proforma Invoice denominated in Renminbi as part of the documents required for the registration of Form M.

❖ Restrictions

- 1) Foreign Exchange purchased in the window shall not be used for payments on transactions in which the beneficiaries are not in China
- 2) Authorized Dealers shall not open Domiciliary accounts denominated in Renminbi for customers

❖ Mode of Payment – Letter of Credit

- All negotiating documents and/or shipping documents (as may be applicable), must be routed from the beneficiary /supplier through his/her bank to the issuing bank.

❖ Mode of Payment – Bills for Collection

- Importers intending to import from China shall obtain Proforma Invoice denominated in Renminbi as part of the documents required for the registration of Form M.

❖ CBN Intervention

- 1) The CBN may conduct bi-weekly Renminbi bidding sessions
- 2) The Renminbi sales shall be applicable only to trade -backed transactions
- 3) Importers and exporters shall continue to pay the applicable levies on imports and exports, respectively
- 4) Authorized Dealers are required to utilize funds within 72 hours from the value date, failing which such funds must be returned to the CBN for repurchase at the bank's buying rate

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❖ CBN Intervention – (Continued)

- 5) Dealers' current account on the day of intervention with the Naira equivalent of the Renminbi bid request
- 6) Bids shall be settled spot and will cut off at a marginal rate
- 7) AUTHORISED DEALERS: These are deposit money banks and merchant banks duly licensed by CBN to buy or sell foreign currency to customers (in this case Renminbi)
- 8) AUTHORISED BUYERS: These are importers and exporters that buy or sell goods to Chinese customers

❖ Impacts on Nigerian Economy:

- 1) Renminbi liquidity for Nigerian Businesses
- 2) Mitigating the adverse effects of Dollar volatility
- 3) Foreign reserves accretion
- 4) Provision of Renminbi denominated loans
- 5) Improve trade flow from China into Nigeria

❖ Sanctions for contravening Yuan agreement.

- 1) Authorized Dealers are enjoined to comply with the provisions, failing which appropriate sanctions shall be imposed as follows:
- 2) Suspension of the FXPD, authorized representatives of the authorized dealer Suspension of authorized dealer from the FX market
- 3) Withdrawal of the authorized dealership license

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❖ **Malpractices (See Explanatory Notes Below):**

- 1) Over Invoicing, Under Invoicing
- 2) Capital Flight, Round Tripping
- 3) Converting Foreign Exchange for Other Uses
- 4) Letters Of Credit Fraud
- 5) Falsification Of Documents
- 6) Electronic Transfer
- 7) Fraud Judgment Debt

❖ **EXPLANATORY NOTES ON MAL-PRACTICES.**

- 1) **OVER INVOICING:** Here the unscrupulous persons transfer fund through overloading of invoice when importing for the purpose of transferring funds abroad for no import have been made
- 2) **UNDER INVOICING:** Here importers, in a bid to evade import duties, reduce the value of invoice covering imports. The implication of this is underestimation of external trade transactions which will in turn result in the misrepresentation of trade in the country's BOP position
- 3) **INVISIBLE TRADE MALPRACTICES:** This is the use of fake or recycled documents to obtain PTA, BTA or other invisible benefits.
- 4) **CAPITAL FLIGHT:** This is the transfer of funds out of the country which results in an illegal outflow of foreign exchange
- 5) **ROUND TRIPPING:** Buying of foreign exchange at the official rate only to divert same to the unofficial market (black market) to make huge profit
- 6) **CONVERTING FOREIGN EXCHANGE FOR OTHR USES:** Here importers bid for foreign exchange through the authorized dealers fail to utilize same for the stated purpose
- 7) **ELECTRONIC TRANSFER FRAUD:** This is a way of moving funds electronically to and from a bank's customer using electronic mediums such as SWIFT

Module 2- Instruments and Requirements of Banking Regulations – CBN Foreign and Exchange Rate Policy

❖ EXPLANATORY NOTES ON MAL- PRACTICES. – (Continued)

- 8) **LETTERS OF CREDIT FRAUD:** This involves creating of phony L/Cs or entering a non-existing application into the system using the name and credit capacity of a non-existing customer to collect payment against a fraudulent L/C.
- 9) **JUDGEMENT DEBT:** This is where judgments are obtained in favour of a foreign company in collaboration with a company for the purpose of obtaining foreign exchange from CBN

❖ Sanctions for Malpractices

- 1) Forfeiture of the amount of the foreign exchange involved
- 2) Additional penalty of two times of the actual forex
- 3) Removal from the board or employment of the affected bank
- 4) Jail sentence without option of fine
- 5) Black-listment from the foreign exchange market for a stated period depending on the offence

❖ Factors That Affect Foreign Exchange Rates

- 1) Interest Rate Differential
- 2) The rate of inflation and level of prices
- 3) Level of money supply
- 4) Capital flight
- 5) Economic performance
- 6) Balance of payment position
- 7) Hot money (refers to funds that are controlled by investors who actively seek short-term returns).
- 8) Lead and Lag (speedy and delay in execution and spending on projects)
- 9) Inflation rate



Module 2- Instruments and Requirements of Banking Regulations – (Other Policy Measures)

❑ Introduction

The Central Bank will use an appropriate policy measure to manage the supply of money into the economy to achieve the following objectives:

- ❖ Price stability (or low inflation rate)
- ❖ Full employment and
- ❖ Growth in aggregate income

❑ The following tools or policy measures may be combined and deployed through the financial sector to achieve the objectives:

- ❖ Open Market Operations (OMO)
- ❖ Cash Reserve Ratio
- ❖ Liquidity Ratio
- ❖ Net Open Position

❑ Open Market Operations (OMO)

- ❖ In Its Monetary, Credit, Foreign Trade and Exchange Policy Guidelines for Fiscal Years 2024/2025, the CBN states that Open Market Operations (OMO) shall remain the primary instrument for liquidity management. Open market operations (OMO) are one of three tools used by the CBN to effect the availability of money and credit. The three tools are:
 - CBN can buy or sell securities such as T/Bills or Bonds or manipulate rates through “b” and “c” below.
 - Buying securities adds money to the system, lowers rates, makes loans easier to obtain, and increases economic activity.
 - Selling securities removes money from the system, raises rates, makes loans more expensive, and decreases economic activity.

Therefore, the Open Market Operation (OMO) is basically designed to be a short-term market instrument that the CBN uses to control the supply of money in the economy. Whenever the CBN believes the inflation rate is high due to increased money supply it

❑ Open Market Operations (OMO) – (Continued)

- ❖ Therefore, the Open Market Operation (OMO) is basically designed to be a short-term market instrument that the CBN uses to control the supply of money in the economy. Whenever the CBN believes the inflation rate is high due to increased money supply it sells T/Bills at high-interest rates mopping up liquidity from the economy and vice-versa.
- ❖ On the flip side, if it believes there is a liquidity squeeze due to high-interest rates it buys back OMO bills flooding the financial market with cash. As you'd expect these are short-term bills that typically should not be more than 90days or 120days. But there are Bills of 365 days.
- ❖ **Products that are sold in the Open Market Operations include:**
 - a) OMO Bills – that are less than 90 days
 - b) Treasury Bills of 90days, 120 days, 180 days or 365 days
 - c) Government Bonds and other designated instruments as may be prescribed from time to time by the Central Bank with the objective of maintaining the banking system liquidity at levels consistent with its monetary policy stance.
- The use of OMO is usually complemented with discount window operations, including repurchase agreements (repo) and reverse repurchase agreements (reverse repo); foreign exchange operations and cash reserve requirements.
- All authorized Money Market Dealers (MMDs) are eligible participants at the auctions.

❑ Reserve Requirements

- 1) The Central Bank of Nigeria usually deploy Cash Reserve and Liquidity Ratios as prudential and liquidity management tools.
- 2) The Cash Reserve Ratio (CRR) for deposit liabilities of banks is fixed by the CBN subject to their review in line with prevailing economic and liquidity conditions.
- 3) The maintenance period for the Cash Reserve Ratio shall be as prescribed from time to time. This is reviewed monthly by the Monetary Policy Committee (MPC)
- 4) CBN sets the minimum liquidity ratio for commercial, merchant, and noninterest banks subject to review from time to time.
- 5) The Apex Bank also fixes the ratio of loans to deposits ratio from time to time as well.

❑ Net Open Position

- 1) The Net Open Position (NOP) limit, long or short, of the overall foreign currency assets and liabilities, inclusive of on and off-balance sheet items, shall not exceed 10% of shareholders' funds unimpaired by losses using the gross aggregate method.
- 2) Unimpaired by losses means that the Bank's Shareholders' funds must remain intact. Any loss by the Bank will render the shareholders' funds invalid.
- 3) The aggregate foreign currency borrowing of a domestic bank, excluding inter-group and inter-bank borrowing, shall not exceed 125% of shareholders' funds unimpaired by losses.
- 4) Banks are expected to adopt the following risk mitigation strategies, amongst others:

- 1) Foreign Exchange Interventions



Module 2- Instruments and Requirements of Banking Regulations – (Other Policy Measures)

❑ Foreign Exchange Interventions

- ❖ In furtherance to the relevant Guidelines for the Operation of the Nigerian Inter-bank Foreign Exchange Market issued on June 15, 2016, and other circulars, manuals and policies
 - 1) The CBN shall sustain efforts at promoting transparency, efficiency, and liquidity in the market.
 - 2) Thus, the Bank shall sustain its surveillance of the foreign exchange market and participate through intervention by buying and/or selling foreign exchange in approved foreign currencies as and when necessary.

❑ Concept of Interest Rate

- 1) The Interest rate is money paid or charged per cent of the deposit or loan granted by bank or other financial institutions.
- 2) It is a price for the use of an asset over a period, usually monthly, quarterly, or annually depending on the period (tenor).
- 3) It is guided by Monetary Policy Rate (MPR) which is under the control of Central Bank of Nigeria (CBN).
- 4) when banks accept deposits, they pay interest which is referred to as a deposit interest rate, when they grant a loan, they charge slightly higher interest rate to earn a margin and become profit after recouping the operational cost.
- 5) Interest rates are usually taken on an annual basis, it is also known as an annual percentage rate (APR).
- 6) Interest rates on large assets are usually referred to as the “lease rate”.
- 7) A borrower is charged:
 - A lower interest rate on loan when he is considered a low-risk party and
 - A higher interest rate on loan if he is considered a high-risk party.
- 8) CBN's Monetary Policy Rate is normally used to guide Banks to fix their Lending and Deposits rates – as shown below:
 - MPR as of May 2025 is 27.5%
 - Asymmetric Corridor is + 500 /– 100 meaning
 - Add 500 basis point to 27.5% = 32% to arrive at what CBN will charge for your Bank if you borrow from the Apex Bank

❑ **Concept of Interest Rate – (Continued)**

- Subtract 100 basis points from 27.5% = 26.5% to arrive at what CBN will give you if you lodge funds with the Bank.
- Both rates “32% and 26.5%” are expected to guide the lending and deposit rates respectively.

a) Banks calculate the lending rate by using either:

- Manual method which is computed by adding the following:
 - i. Total Cost of Funds / Total Deposits
 - ii. NDIC Premium per Deposit Liability
 - iii. Opportunity Cost of Cash Reserve divided by Total Deposit Liability
 - iv. Operating Expenses divided by Total Deposit
 - v. Add the Margin or Spread approved by Management e.g., 4% or 6% Total of “i - v” will be the Lending Rate

b) Electronic Method (preferred) / Treasurers use the Software.

- i. Automated systems are superior to Manual system.
- ii. There is no human intervention.
- iii. Computation errors are avoided.
- iv. The computer will automatically use the system data to generate the from the database on the system.

❑ Co-operation with Law Enforcement Authorities

- 1) Banks and other financial institutions are required to cooperate with law enforcement authorities within the limits of the rules governing banking, particularly confidentiality.
- 2) Where financial institutions have information that lead to a reasonable presumption that funds lodged in an account or transactions being entered into are derived from any of the predicate offences or criminal activity or intention, they should observe the stipulated procedures for filing suspicious transactions reports consistent with extant reporting procedures.
- 3) Any financial institution that contravenes these requirements shall attract appropriate penalties as stipulated in the CBN AML/CFT (Administrative Sanctions) Regulations, 2023 and BOFIA 2020 and other relevant AML/CFT laws
- 4) The Bank shall collaborate with relevant law enforcement agencies in the course of determining the appointments of ‘fit and proper persons’ as directors of CBN licensed financial institutions as well as the suitability of promoters of financial institutions.
- 5) The CBN official encouragement tool is known as “Moral Suasion” to make Bank Officials co-operate with all Law Enforcement Authorities.

End of Module 2

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

- ☐ Conceptual Framework
- ☐ The Fraud Triangle, Fraud Pentagon and Others
- ☐ The Fraud Tree
- ☐ Fraud Risk Assessment
- ☐ Case Study

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Conceptual Framework

❑ Introduction

- ❖ Financial fraud can be broadly defined as an intentional act of deception involving financial transactions for the purpose of personal gain. Fraud is “a deception, trickery, sharp practices, or breach of confidence to deprive other people of what belongs to them.” Fraudsters are criminals who engage in fraudulent activities.
- ❖ Fraud is therefore a crime against the state. In court, a fraud case is always referred to as “the state versus the fraudster”. Electronic fraud is the use of electronic mechanisms to speed up the fraud process. This is the target of Section 419 of the Criminal Code.



❑ Fraud Classification

- i. **Insider's Job:** Fraud perpetrated by members of Staff.
- ii. **Outsider's Job:** Fraud perpetrated by outsider(s) without the use of an inside agent(s).
- iii. **Combination of Outsiders and Insiders:** This is usually referred to as “collusion” with outsiders. The success rate is high.
- iv. **Lone Ranger:** A lone ranger is the fraudster that operates alone whether as an insider or as an outsider. Usually, they are very smart and intelligent with a comprehensive knowledge of the standard operating procedure (SOP) of the organization. Very difficult to detect.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Fraud Features

- i. **Deception** – the act of getting what does not belong to you by false pretext.
- ii. **Dishonesty** – the act of lying to obtain value that does not belong to you.
- iii. **Deprivation** – Use of falsehood or lying to deprive others of their assets or property.
- iv. **Sharp practices** – the wrong use of knowledge or skill to gain undue advantage.
- v. **Breach of confidence** – Disappointing and fraudulent activities of trusted persons.
- vi. **Impropriety** – Abuse of office or betrayal of confidence by trusted top Officials. (**Corruption**)



❑ Types of Fraud : Financial Statements

1. Recording Revenue Prematurely or of Questionable Quality

- ❖ Recording revenue prior to earning
- ❖ Recording revenue for products that are not required to be purchased

2. Increasing Income with One-Time Gains

- ❖ Increasing profits by selling assets and recording the proceeds as revenue
- ❖ Increasing profits by classifying investment income or gains as revenue

3. Shifting Current Expenses to an Earlier or Later Period

- ❖ Amortizing costs too slowly
- ❖ Changing accounting standards to foster manipulation
- ❖ Capitalizing normal operating costs in order to reduce expenses by moving them from the income statement to the balance sheet

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Types of Fraud : Financial Statements – (Continued)

4. Failing to write down or write off impaired assets

- ❖ Failing to Record or Improperly Reducing Liabilities
- ❖ Failing to record expenses and liabilities when future services remain

5. Changing accounting assumptions to foster manipulation Shifting Current Revenue to a Later Period

- ❖ Creating a rainy-day reserve as a revenue source to bolster future performance
- ❖ Holding back revenue
- ❖ Shifting Future Expenses to the Current Period as a Special Charge
- ❖ Accelerating expenses into the current period
- ❖ Changing accounting standards to foster manipulation, particularly through provisions for depreciation, amortization, and depletion.

❑ Types of Fraud : Inventory Fraud

- 1) Inventory fraud involves the theft of physical inventory items and the mis-statement of inventory records on a Bank's financial statements.
- 2) Examples are:
 - a) Overvaluation of Stocks for the purpose of overstating Income
 - b) Undervaluation of Stocks for fraudulent purpose
 - c) Inventory Fraud is usually carried out to trick shareholders and tax agencies
 - d) High profile companies like “Cadbury Nigeria” were involved in a case of overvaluation of Stock to boost income in the past. It led to suspension on the Stock Exchange at that time.



Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Types of Fraud : E- Business

❖ Electronic Business fraud is an integral part of ICT based crime

- 1) It is the use of computer hardware / software and communication equipment to perpetrate fraud.
- 2) When the world transformed from manual to electronic data processing the Fraudsters also changed their mode of compliant!
- 3) Internet, intranet, extranets or mobile phones and e-mails became useful tools in the hands of E-Business Fraudsters.
- 4) The benefits to them include “speed, efficiency, accuracy committing crime.”

❑ E-Banking Fraud



❑ With internet banking on the rise, frauds are just a click away. The cyber threat landscape has changed. Beyond Password, there are Cloned Websites, Online robbery has become an organized crime.

- 1) Hackers are spread across the globe, with diverse techniques.
- 2) The attacks involve compromising a bank's database with system level implications. Apart from the internet, mobile transactions, that are finding favour among customers, could also be hit.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

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Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ **Phishing – scams that request your account information**

- ❖ Phishing is conducted online. Criminals “fish” for information by sending out emails to receive usernames, passwords, and other personal information in order to scam money out of unknowing participants. A fake web site is created to look similar to that of a legitimate organization, typically a financial institution such as a bank or insurance company.
- ❖ Websites are usually designed using well-known and trusted brands to convince the individual to provide financial and/or personal information

❑ **Card Skimming**

- ❖ Skimming is the in-person illegal copying information from a card via a handheld tool the size of a lighter, or a device that fits neatly over a gas station pump or ATM. Both allow thieves to scan the account information of your card’s magnetic strip.
- ❖ Skimming can occur at any bank ATM or via a compromised Electronic Funds Transfer POS (EFTPOS) machine captured card and PIN details are encoded onto a counterfeit card and used to make fraudulent account withdrawals and transactions.

❑ **Identity Theft**

- ❖ It can take many forms, from fraudulent credit card use to entire identity being used to open accounts, obtain loans, and conduct other illegal activities.
- ❖ Be suspicious if anyone asks you for your personal information. Scammers use convincing stories to explain why you need to give them money or personal details.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ **Spyware and Adware**

- ❖ A kind of malicious software, includes viruses, worms, spyware and Trojan horses, among others These programs often come bundled with free programs, applications or services you may download from the Internet
- ❖ Spyware or Adware software covertly gathers your user information and monitors your Internet activity, usually for advertising purposes

❑ **Other Types of Fraud**

- ❖ **Mail Fraud:** Conversion or switching the benefits of mail's contents.
- ❖ **Document Forgery** of Cheques, Signatures, Certificates of Investments and Title documents.
- ❖ **Account Opening Fraud:** Top officials can be involved in this. It is usually done to divert funds which belong to others.
- ❖ **Account Falsification:** This type of fraud that may result in a huge loss for a bank – Customers' assets ought to be protected.
- ❖ **Suppression of lodgments or teeming and lading** – due reconciliation indiscipline.
- ❖ **Electronic or Computer Frauds:** Fraud through unrestricted access, password, careless protection of individual passwords
- ❖ **Illegal printing and usage of Bank's or Corporate Document:** To deceive innocent people.
- ❖ **Funds Transfer, Telex and fax machine fraud:** Are similar in terms of speed for unauthorized transfer of funds.
- ❖ **Clearing Fraud:** Illegal clearing of bank instruments through the clearing officers.
- ❖ **Cross firing or Kite Flying.** Lodgment of cheques drawn on one branch of a bank on another; then withdrawing funds before clearing.
- ❖ **Management Fraud:** Difficult to detect. Known as Impropropriety. (Big Boss' fraud).
- ❖ **Dormant Account Fraud.** Use of a dormant account that is left unblocked by Management.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Sources of Fraud

❖ There are three common sources of fraud. These are:

- 1) **Asset Misappropriation** - Asset misappropriation occurs when the employees or key third-party vendors who are trusted to manage the assets of an organization, such as payroll or intellectual property, steal from it. Cash is the asset most commonly misappropriated, and employees most often conduct these schemes.
- 2) **Corruption Scheme** - Corruption schemes tend to occur because of personal relationships between individuals and leave little or no paper trail. This type of fraud includes bribery, conflicts of interest or kickbacks related to your company's business transactions.
- 3) **Financial Statement Fraud** - Financial statement fraud is the deliberate misrepresentation or omission of data to create a false impression of your company's financial strength. Most commonly, financial statement fraud involves manipulating revenue figures, but it can also include delaying the recognition of expenses, overstating inventory or disclosing improper information to the public.

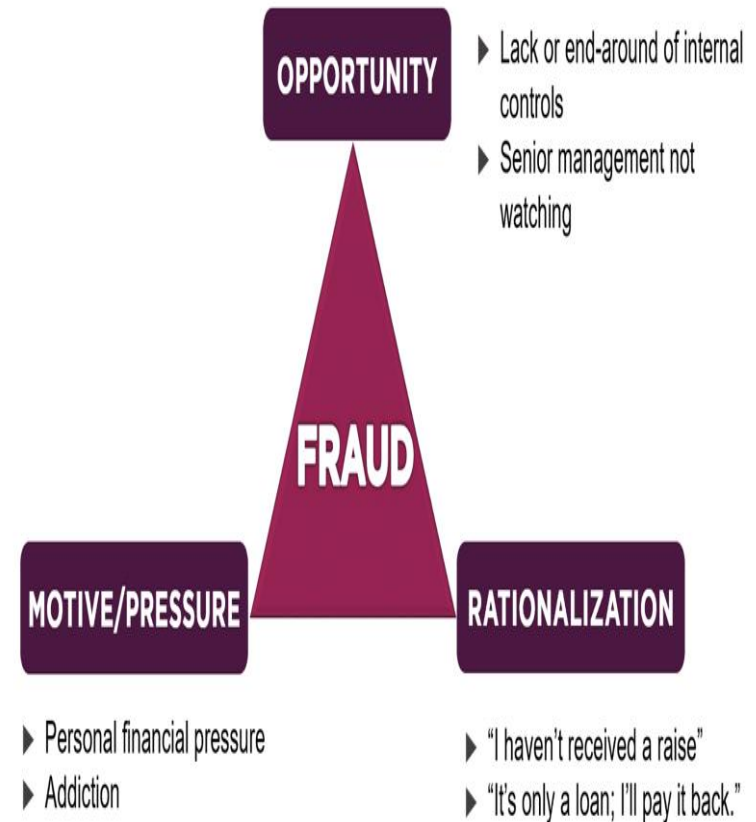
Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Stakeholder's Role in Detecting Fraud

- 1) Deployment of strong Internal Control, Internal audit and Compliance.
- 2) Zero tolerance for financial Malpractices in the Bank
- 3) Encouragement of whistle blowing / Preserving the Identity of whistle Blowers
- 4) Confirmation of cheques before payment
- 5) Reconciliation disciplines.
- 6) Surprise checks of the vault cash and TCs.
- 7) Know your customer. S.3 & S.5 NDLEA Act.
- 8) Obey the Bill of Exchange Act on stop payment of instruments:
- 9) Stop order by Customers
- 10) Staff Rotational Policy – Staff should rotate at regular intervals
- 11) Staff should be encouraged to take vacations.
- 12) Use of Close Circuit Television i.e., CCTV and Secret Camera
- 13) Obey Caution notices from other banks.
- 14) Minimize movements while “Cash and Teller” staff are at Teller Points.
- 15) Regis cope machine or close circuit television are useful to take the pictures of “big ticket” Customers – who come to withdraw money.
- 16) Be sensitive to customers' consistency on ink, color, perfect signature may be traced to forgery.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

- ❑ The fraud triangle is a widely accepted model that explains the three key elements that lead to occupational fraud:
 - **Perceived pressure or incentive** to commit fraud
 - **Perceived opportunity** to commit fraud
 - **Rationalization** of fraudulent behaviour
- ❑ While HR managers have limited control over the pressure and rationalization factors, they can significantly impact the opportunity element through proper hiring practices, training, and monitoring.



Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

The Fraud Triangle Theory / The Fraud Diamond Theory

The Fraud Triangle: - Donald Cressey (Other People's Money)



Opportunity (weak control environment)

- In response to cost optimisation, strategies organisations often automate systems and controls. Rapid or accelerated system implementation can create new loopholes;

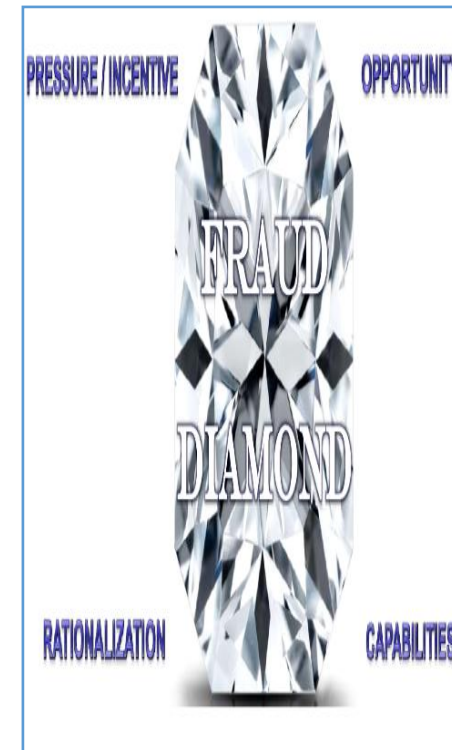
Motivation (often unshareable)

- The prolonged undesirable financial conditions for both institutions and individuals have had a significant negative effect on employees;
- A high proportion of individuals are over indebted consummate to their earnings;

Rationalisation (justifying the act)

- External rationalisation of fraud;
- Internal rationalisation of fraud; and
- Individual's personal circumstances.

The Fraud Diamond: - David T. & Hermanson, Dana R; 2004



Capability Traits:

- Position/Function
- Authority
- Influence
- Brains
 - Knowledge
- Coercion Skills
- Confidence/ego
- Effective Lying

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

The Fraud Pentagon

- ❑ The Fraud Pentagon Theory, developed by Crowe Horwath in 2011, expands on the earlier Fraud Triangle theory by adding two more factors: competence and arrogance, to create a model with five key elements that contribute to fraudulent behavior. These are: pressure, opportunity, rationalization, competence, and arrogance
- ❑ Here's a breakdown of each element:
 - ❖ **Pressure:**
 - This refers to the incentives or motivations that drive someone to commit fraud. It could be financial pressure, performance targets, or personal circumstances.
 - ❖ **Opportunity:**
 - This element describes the circumstances that allow a fraud to occur. It could be weak internal controls, lack of oversight, or opportunities presented by the nature of the business.
 - ❖ **Rationalization:**
 - This is the process where individuals justify their fraudulent actions to themselves, making it easier to carry out the act.
 - ❖ **Competence:**
 - This factor highlights the skills, knowledge, and experience required to commit and conceal a fraud.
 - ❖ **Arrogance:**
 - This element refers to the perpetrator's overconfidence, sense of entitlement, and disregard for rules and regulations.
- ❑ The Fraud Pentagon Theory is considered a more comprehensive model than the earlier Fraud Triangle because it acknowledges the importance of competence and arrogance as key drivers of fraud



Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

The Fraud Tree

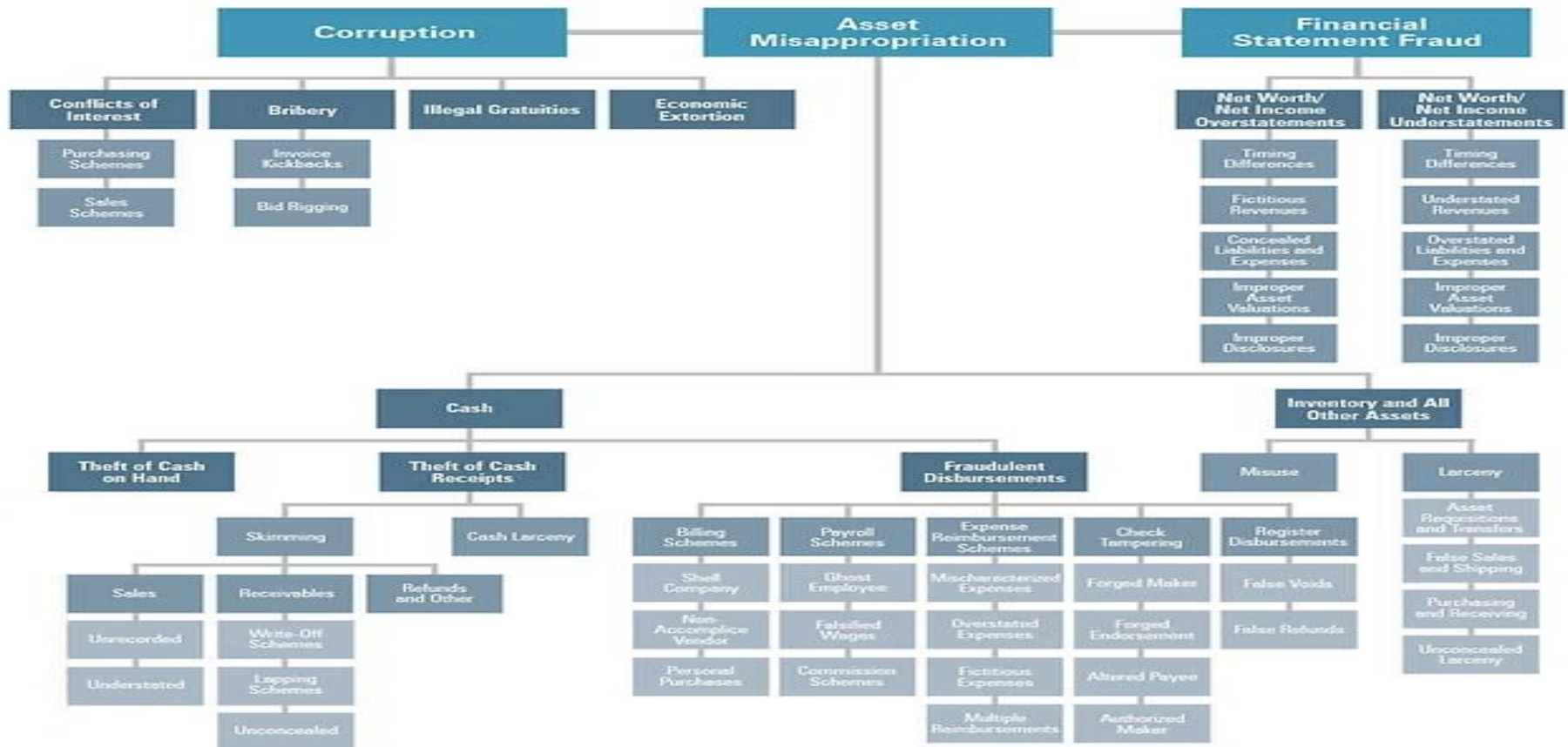
- ❑ The Fraud Tree, developed by the Association of Certified Fraud Examiners (ACFE), serves as a classification system to categorize different types of occupational fraud.
- ❑ The Fraud Tree is a structured classification system that organizes fraudulent activities into three primary categories:
 - ❖ **Asset Misappropriation** – Involves the theft or misuse of an organization's assets.
 - ❖ **Corruption** – Occurs when an individual misuses their position for personal gain.
 - ❖ **Financial Statement Fraud** – Involves intentional misrepresentation of financial information to deceive stakeholders.
- ❑ Each of these categories has several subcategories that further define the specific nature of fraudulent activities.
- ❑ The Fraud Tree framework offers a structured approach to understanding and combating occupational fraud.
- ❑ By recognizing the various schemes under asset misappropriation, corruption, and financial statement fraud, organizations can proactively implement measures to detect and prevent fraudulent activities.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

The Fraud Tree

THE FRAUD TREE

OCCUPATIONAL FRAUD AND ABUSE CLASSIFICATION SYSTEM



Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

The Fraud Tree – Empirical Case Studies

☐ **ASSET MISAPPROPRIATION**

- ☐ **Definition:** Asset misappropriation is the most common form of occupational fraud, where an employee steals or misuses an organization's resources. Although frequent, it usually results in lower financial losses than other types of fraud.
- ☐ **Subcategories of Asset Misappropriation**
 - ❖ Cash Theft: Stealing cash before or after it is recorded in an organization's financial records.
 - ❖ Fraudulent Disbursements: Making improper payments through fake invoices, payroll fraud, or expense reimbursements.
 - ❖ Inventory and Asset Misuse: Employees taking or misusing company inventory or assets for personal gain.
- ☐ **Real-World Example: The Koss Corporation Fraud (2009)**
 - ❖ A former executive at Koss Corporation, Sujata "Sue" Sachdeva, embezzled over \$34 million from the company by manipulating its accounting system. She used fraudulent wire transfers and unauthorized transactions to fund her lavish lifestyle. Her fraud scheme lasted for several years before internal audits uncovered irregularities.

☐ **CORRUPTION**

- ❖ **Definition:** Corruption occurs when employees misuse their influence for personal gain, often harming the organization in the process. This type of fraud is common in procurement, contract approvals, and corporate decision-making.
- ☐ **Subcategories of Corruption**
 - ❖ **Bribery:** Offering, giving, or receiving something of value to influence a decision.
 - ❖ **Conflicts of Interest:** An employee having undisclosed relationships that influence their decisions.
 - ❖ **Illegal Gratuities:** Offering gifts or rewards to influence future business dealings.
 - ❖ **Economic Extortion:** Coercing someone to provide favors or financial benefits under duress.
- ☐ **Real-World Example: The Siemens Bribery Scandal (2006)**
 - ☐ Siemens, one of the world's largest engineering firms, was caught in a massive bribery scandal where executives paid over \$1.6 billion in bribes to government officials across multiple countries to secure contracts. The company faced hefty fines and a reputational crisis as a result.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

The Fraud Tree – Empirical Case Study

❑ FINANCIAL STATEMENT FRAUD

- ❑ **Definition:** Financial statement fraud is the most financially damaging type of fraud, involving intentional misrepresentation of financial data to deceive investors, regulators, and stakeholders.

❑ Subcategories of Financial Statement Fraud

- ❖ Overstating Revenues: Recording sales that have not occurred or inflating revenue figures.
- ❖ Understating Expenses: Omitting expenses or deferring costs to show inflated profits.
- ❖ Improper Asset Valuations: Overstating the value of company assets to manipulate financial ratios.

❑ Real-World Example: The Enron Scandal (2001)

- ❖ Enron executives used fraudulent accounting methods to hide billions of dollars in debt while falsely inflating their company's stock price. The scandal resulted in Enron's bankruptcy and led to widespread regulatory reforms, including the Sarbanes-Oxley Act.



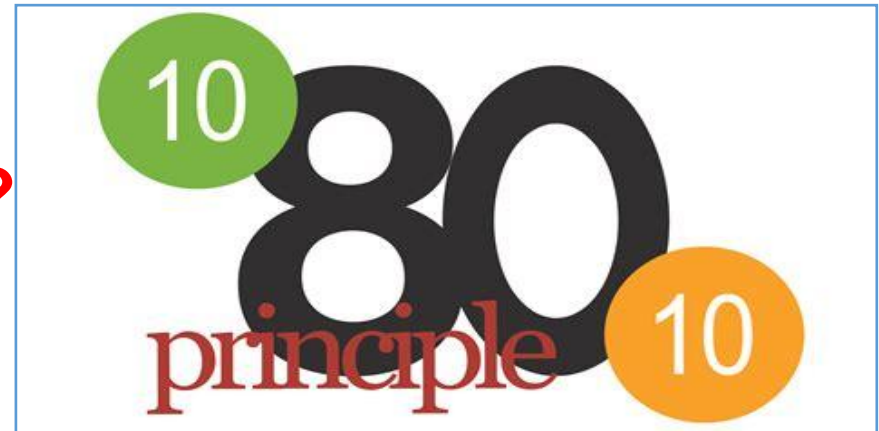
Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

Understanding What Drives Employees to Commit Theft or Fraud

❑ Fraud prevention experts have developed the 10-10-80 Principle / Rule, which states that:

- ❖ 10% of employees will never steal
- ❖ 10% will always steal
- ❖ 80% will go either way depending on the circumstances.

Do you Agree or disagree?



Workplace Fraud: Sources & Features

Sources of Workplace Fraud

- ❑ **Disgruntled Employees:** Employees who feel underpaid, underappreciated, or unfairly treated may be motivated to commit fraud as retaliation.
- ❑ **Financial Pressures:** Personal financial difficulties, such as debt, medical bills, or gambling addictions, can drive employees to steal from their employer.
- ❑ **Lack of Internal controls:** Weak internal controls and lack of segregation of duties create opportunities for fraud to occur undetected.
- ❑ **Lack of Management Oversight:** Insufficient supervision and monitoring of employees, especially those in positions of trust, can enable fraudulent activities.
- ❑ **Collusion Between Employees:** When multiple employees work together to circumvent controls, the risk of fraud increases significantly



Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

Workplace Fraud: Sources & Features

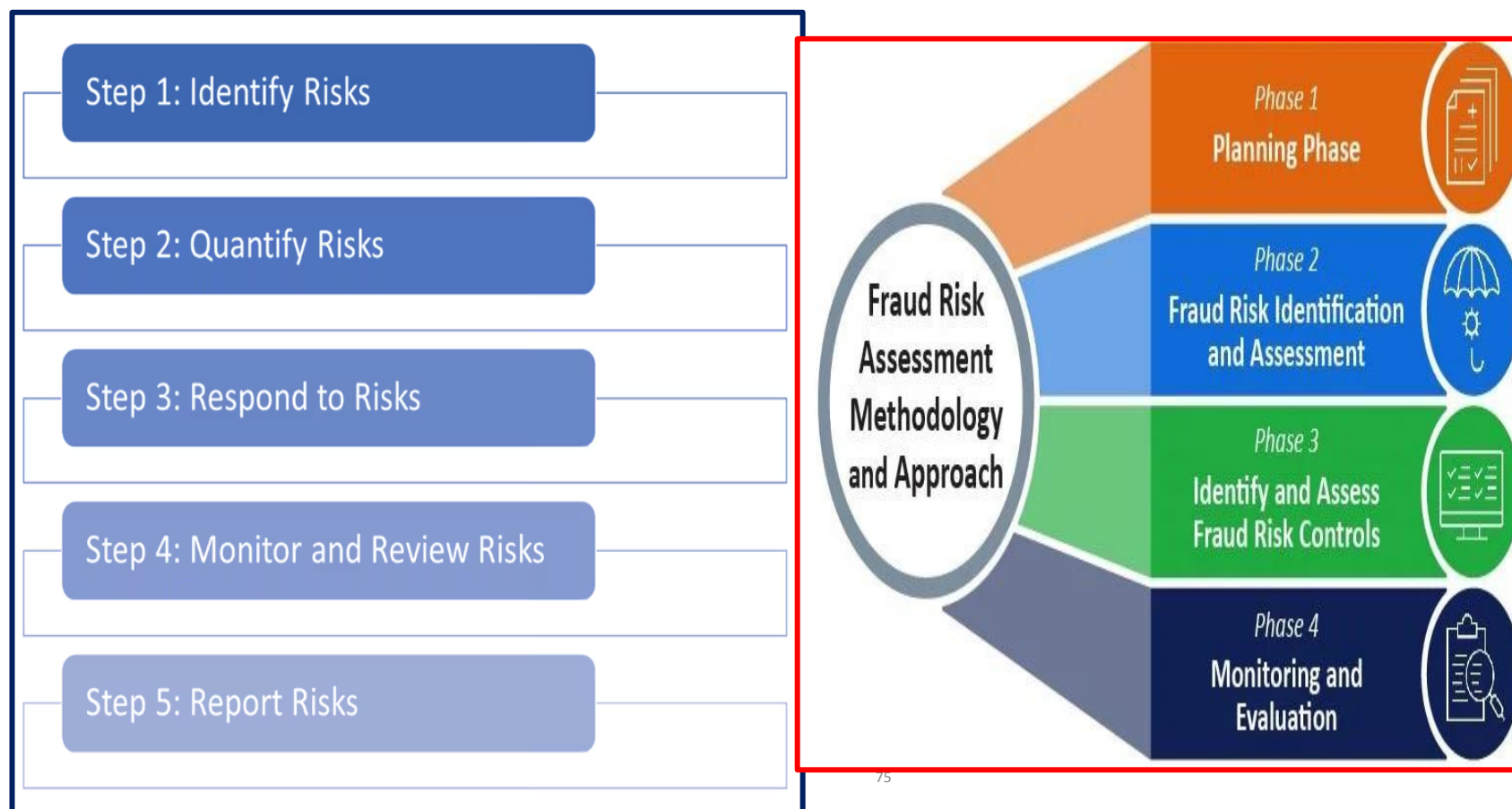
Features of Workplace Fraud

- ❑ **Misappropriation of Assets:** Fraudulent employees may use financial institution funds for personal purchases and falsely claim them as business expenses.
- ❑ **Benefit fraud:** Employees may fraudulently claim benefits they are not entitled to, such as inflating medical claims or using sick leave for personal reasons.
- ❑ **Payroll Fraud:** Employees may create ghost employees, inflate hours worked, or receive unauthorized bonuses or raises.
- ❑ **Billing and Procurement Fraud:** Employees may collude with vendors to overbill, receive kickbacks, or purchase unnecessary goods and services.
- ❑ **Intellectual Property Theft:** Employees may steal trade secrets, customer data, or other proprietary information for personal gain or to benefit a competitor.
- ❑ **Conflicts of Interest:** Employees may engage in self-dealing, such as steering business to companies they own or have a financial interest in.
- ❑ **Loan Fraud:** Employees may approve loans based on falsified information or engage in other fraudulent lending practices.
- ❑ **Account Manipulation:** Employees may alter account balances, transfer funds without authorization, or create false accounts to conceal fraudulent activities.

Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Fraud Risk Assessment

A fraud risk assessment framework is a structured approach to identifying, analyzing, and mitigating the potential for fraudulent activities within an organization. It involves systematically evaluating vulnerabilities and developing strategies to prevent, detect, and respond to fraud effectively. This framework helps organizations understand their susceptibility to fraud, minimize financial losses, and uphold their integrity.



Presentations Topics – Module 3 FUNDAMENTALS OF FRAUD RISK MANAGEMENT

❑ Fraud Risk Assessment Process



End of Module 3

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

- ☐ Types of Corporate Fraud
- ☐ Understanding of Banking Fraud
- ☐ Banking Operations Fraud
- ☐ E-Banking Fraud Typology
- ☐ Credit and International Banking Fraud
- ☐ Fraud Control and Treatment
- Case Study

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

Types of corporate fraud

- ❑ **Corporate fraud** consists of activities undertaken by an individual or company that are done in a dishonest or illegal manner, and are designed to give an advantage to the perpetrating individual or company.
- ❑ **Corporate fraud schemes** go beyond the scope of an employee's stated position, and are marked by their complexity and economic impact on the business, other employees and outside.
- ❑ **Types of Fraud:-** There are many types of corporate fraud, including the following common frauds:
 1. Theft of cash, physical assets or confidential information.
 2. Misuse of accounts.
 3. Procurement fraud
 4. Payroll fraud
 5. Financial accounting misstatements
 6. Inappropriate journal vouchers
 7. Suspense accounting fraud
 8. Fraudulent expense claims
 9. False employment credentials .
 10. Bribery and corruption.



Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ UNDERSTANDING OF BANKING FRAUD

- ❑ Banking fraud involves illegal actions that aim to steal money, assets, or other property from financial institutions or their customers. It can take various forms, including identity theft, credit card fraud, check fraud, loan fraud, and cybercrimes, often involving deception and manipulation of financial information.
- ❑ **Types of Banking Fraud:**
 - ❖ **Account Takeover:-** Criminals gain unauthorized access to a customer's bank account using stolen or compromised credentials (usernames, passwords, etc.).
 - ❖ **Check Fraud:-** This includes practices like check kiting (using multiple accounts to create a false balance), check forgery, and writing bad checks.
 - ❖ **Credit Card Fraud:** - Involves the use of stolen or cloned credit cards, or unauthorized online transactions.
 - ❖ **Loan Fraud:-** Criminals apply for loans using false information or forged documents.
 - ❖ **Cybercrime:** -Includes phishing attacks, malware infections, and other online scams designed to steal financial information.
 - ❖ **Phishing:-**Scammers attempt to trick individuals into revealing sensitive information (like bank details) by posing as a legitimate entity.
 - ❖ **Money Laundering:-** The process of concealing the origins of illegally obtained money by passing it through a series of legitimate transactions.
 - ❖ **Investment Scams:-** Criminals entice victims with promises of high returns on investments, often using fabricated platforms or endorsements.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ UNDERSTANDING OF BANKING FRAUD

❑ How Banking Fraud Occurs:

❖ Internet Banking:

- Criminals exploit vulnerabilities in online banking platforms to access accounts.

❖ Telephone Banking:

- Scammers may use social engineering tactics to obtain information over the phone.

❖ Mobile Banking:

- Fraudsters may target mobile banking apps with malicious software or social engineering techniques.

❑ Prevention and Awareness:

- ❖ Be cautious of suspicious emails and links: Avoid clicking on links or downloading attachments from unknown sources.
- ❖ Protect your personal information: Never share your bank details, passwords, or other sensitive information with unverified sources.
- ❖ Enable two-factor authentication: This adds an extra layer of security to your accounts.
- ❖ Monitor your bank statements regularly: Check for any unauthorized transactions.
- ❖ Report any suspicious activity immediately: Contact your bank's fraud department if you suspect you've been targeted by fraud.
- ❖ Educate yourself about common scams: Stay informed about the latest fraud tactics.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ BANKING OPERATIONS FRAUD

- ❖ Banking operations fraud refers to any intentional act or activity that aims to deceive a financial institution or its customers for illicit financial gain.
- ❖ This can involve a wide range of activities, including unauthorized transactions, identity theft, and money laundering, often leveraging technological advancements and increasingly complex banking operations.
- ❖ **Types of Banking Operations Fraud:**
- ❖ **Unauthorized Transactions:-** These include fraudulent withdrawals, transfers, or payments from customer accounts without their knowledge or consent.
- ❖ **Identity Theft:-** Fraudsters steal personal information (like names, addresses, and bank account details) to impersonate customers and access their accounts.
- ❖ **Synthetic Identity Fraud:-** This involves creating fake identities using a combination of real and fabricated information to open fraudulent accounts and obtain credit or loans.
- ❖ **Money Laundering:-** This is the process of disguising the origins of illegally obtained money to make it appear legitimate.
- ❖ **Check Fraud:-** This includes forging checks, altering check amounts, or creating counterfeit checks.
- ❖ **Payment Fraud:-** This involves using false or illegal methods to complete transactions, such as using stolen or compromised credit cards.
- ❖ **Loan Application Fraud:-** This involves providing false information on loan applications to secure loans that would not otherwise be approved.
- ❖ **Insider Fraud:-** This can involve bank employees or other individuals with access to sensitive information who abuse their positions for personal gain.
- ❖ **Romance Scams:-** Criminals create fake online profiles and manipulate individuals into sending them money by fabricating sob stories or romantic interests.
- ❖ **Voice Cloning Fraud:-** Scammers use voice cloning technology to impersonate individuals and trick banks or their customers into revealing sensitive information or transferring funds.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ BANKING OPERATIONS FRAUD

❑ **Contributing Factors:-**

- ❑ **Technological Advancements:-** The increasing reliance on digital banking channels (internet banking, mobile banking, etc.) has created new vulnerabilities for fraudsters to exploit.
- ❖ **Complex Banking Operations:-** The complexity of modern banking systems can make it challenging to detect and prevent fraud.
- ❖ **Greed and Lack of Ethics:-** Some individuals are driven by greed and a desire for quick profits, while others may be motivated by a lack of ethical principles.
- ❖ **Inadequate Regulatory Measures:-** Insufficient regulations and oversight can create opportunities for fraud to occur and go undetected.
- ❖ **Insider Threats:-** Bank employees with access to sensitive information can be susceptible to bribery or coercion, leading to fraudulent activities.

❑ **Consequences of Banking Operations Fraud:**

- ❖ **Financial Losses:-** Fraudulent activities can result in significant financial losses for both banks and their customers.
- ❖ **Reputational Damage:-** Fraud can erode public trust in financial institutions, damaging their reputation and brand.
- ❖ **Loss of Customer Confidence:-** Customers may lose confidence in the security of their accounts and banking systems.
- ❖ **Legal and Regulatory Penalties:-** Banks and individuals involved in fraud can face legal and regulatory penalties.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ E-BANKING FRAUD TYPOLOGIES

- ❖ E-banking fraud can be categorized into several typologies, including phishing, malware attacks, and account takeovers, each utilizing different techniques to deceive victims and steal their information or funds.
- ❖ **Here's a breakdown of common E-banking fraud typologies:**
 - 1. Phishing:**
 - ❖ Fraudsters impersonate legitimate entities (like banks) via email, text, or fake websites to trick users into revealing sensitive information (usernames, passwords, card details).
 - ❖ They may create a sense of urgency to pressure victims into acting quickly.
 - ❖ Examples include emails asking users to "verify" account details after a supposed security breach.
 - 2. Account Takeover:**
 - ❖ Criminals gain unauthorized access to a victim's online banking account by obtaining login credentials through phishing, social engineering, or data breaches.
 - ❖ Once inside, they can drain funds, change account details, and make fraudulent transactions.
 - 3. Malware and Viruses:**
 - ❖ Malicious software can be installed on a user's device through downloads or email attachments.
 - ❖ This malware can then be used to steal banking details or even set up automatic transfers to fraudsters' accounts.
 - 4. Social Engineering:**
 - ❖ Fraudsters use psychological manipulation to trick users into revealing sensitive information or performing actions that benefit the fraudster.
 - ❖ This can involve building trust, creating a sense of urgency, or exploiting emotions.
 - ❖ Examples include phone call scams where fraudsters pose as bank representatives and ask for personal information.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ E-BANKING FRAUD TYPOLOGIES - (Continued)

❖ Here's a breakdown of common E-banking fraud typologies:

5. ATM and Card Skimming:

- Fraudsters install skimming devices on ATMs to capture card details and PINs.
- They may also use hidden cameras to record users entering their PINs.

6. Fake Websites:

- Fraudsters create websites that mimic legitimate banking websites to steal user credentials and other sensitive information.
- These fake websites may look very similar to the real ones, making them difficult to distinguish.

7. Loan Fraud:

- Fraudsters may impersonate bank representatives or other financial institutions to offer loans with unrealistic terms.
- They may ask for upfront fees or other payments before the loan is approved, which the victim never receives.

8. Money Transfer Fraud:

- Fraudsters may use various methods to trick victims into transferring money to their accounts.
- This can involve fake invoices, lottery scams, or impersonating trusted individuals.

9. Identity Theft:

- Fraudsters steal a victim's personal information (name, address, date of birth, etc.) to open fraudulent accounts, apply for loans, or make purchases.
- This can also involve creating synthetic identities by combining elements of different individuals' identities.

10. Automated Transfer System (ATS) Fraud:

- This sophisticated method involves fraudsters using malware to gain access to banking details and set up automatic transfers to their accounts.
- It often involves a combination of malware and social engineering tactics.

- ❑ Understanding these different types of e-banking fraud is crucial for individuals and financial institutions to implement effective preventative measures and stay vigilant against these evolving threats.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ CREDIT AND INTERNATIONAL BANKING FRAUD

Credit and international banking fraud encompasses a range of illegal activities involving the misuse of financial systems for personal gain or to facilitate other crimes. These activities can range from unauthorized access to bank accounts to elaborate schemes involving forged documents and money laundering.

Understanding the various types of fraud, recognizing warning signs, and implementing preventative measures are crucial for protecting individuals and institutions from financial loss and reputational damage

❑ Types of Credit and International Banking Fraud:

❖ Account Takeover (ATO):

- Fraudsters gain unauthorized access to online accounts, often using stolen credentials from the dark web or obtained through social engineering.

❖ Money Laundering:

- The process of concealing the origins of illegally obtained money, often involving complex transactions to obscure the source.

❖ Payment Fraud:

- Unauthorized transactions on credit cards, debit cards, or through other payment methods.

❖ Phishing / Vishing / Smishing:

- Deceptive methods of obtaining sensitive information through fake emails, phone calls, or text messages.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

❑ CREDIT AND INTERNATIONAL BANKING FRAUD

❑ Types of Credit and International Banking Fraud: - (Continued)

SIM Swap Fraud:

Fraudsters take over a victim's phone number to intercept two-factor authentication codes and access accounts.

❖ **Letter of Credit Fraud:**

Using false documentation to fraudulently claim goods were shipped when they weren't, often in international trade.

❖ **Parallel Banking Fraud:**

Unauthorized banking transactions conducted by bank staff that are hidden from official records.

❖ **Third-Party Application Fraud:**

Using synthetic identities (mixing real and fake information) to open accounts or apply for credit.

❖ **Cheque Kiting:**

Exploiting the time gap between cheque issuance and clearing to withdraw funds before the cheque bounces.

❖ **Card-Not-Present Fraud:**

Credit card fraud where the fraudster doesn't have the physical card but uses stolen card details.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

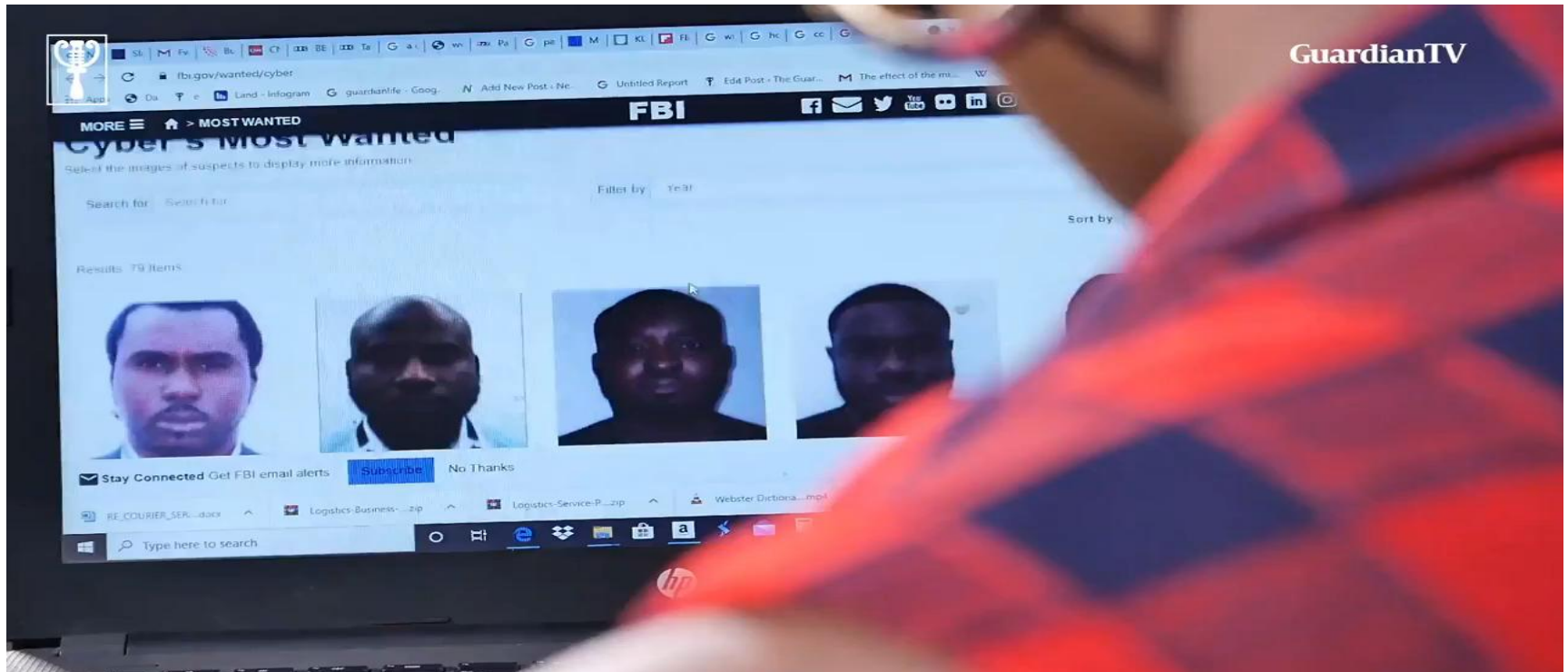
❑ FRAUD CONTROL AND TREATMENT

- ❖ **Enable Multi-Factor Authentication (MFA):** Adds an extra layer of security to online accounts.
- ❖ **Be cautious of unsolicited emails, calls, or messages:** Verify requests for personal information with the financial institution directly.
- ❖ **Monitor account activity regularly:** Watch for suspicious transactions or unusual patterns.
- ❖ **Use strong, unique passwords and keep them secure:** Avoid reusing passwords across multiple accounts.
- ❖ **Be wary of deals that seem too good to be true:** Scammers often use attractive offers to lure victims.
- ❖ **Report any suspected fraud immediately:** Contact your bank and relevant authorities.
- ❖ **Be aware of common fraud tactics:** Stay informed about the latest scam techniques.
- ❖ **Secure your personal information:** Protect your social security number, date of birth, and other sensitive data.
- ❖ **Keep your software and security systems up to date:** Ensure your devices are protected against malware and viruses.
- ❖ **Be cautious when sharing personal information online:** Avoid posting sensitive details on social media.

Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

Video Clip - Case Study of Nigerians on FBI's Most Wanted List



Presentations Topics – Module 4

BANK FRAUD AND INTERNAL CONTROL

CASE STUDY - FBI Arrests Nigerian Suspect in \$11 Million BEC Scheme

CFO Targeted

- ❖ In its affidavit, FBI agents allege that Okeke, along with other, unnamed associates, targeted the email account of Unatrac's chief financial officer. The CFO received a phishing email that contained a link that supposedly would allow him to log into his Microsoft Office 365 account, according to the documents.
- ❖ Instead, the malicious link sent the CFO to a spoofed website that looked like an Office 365 log-in page. He then entered his credentials into the page, which were captured by the attackers, according to the FBI affidavit.
- ❖ Once they had the credentials, the attackers accessed the CFO's emails and company files, logging into his account more than 460 times during a four-week period, the court documents allege. The credentials also allowed the scammers to create fake wire transfers and invoices using the CFO's name, title, company logos and other information to create authentic-looking documents, authorities say.
- ❖ The attackers also altered the CFO's account to monitor his email traffic, according to the FBI.
- ❖ "The [email redirect rules] intercepted legitimate emails to and from employees on the financial team, marked them as read, and moved them to another folder outside the inbox," according to the FBI. "These rules appeared to have been created in an attempt to hide from the CFO any responses from the individuals to whom the intruder was sending fabricated emails."
- ❖ From there, the company's financial team began receiving invoices and money transfer requests from companies with names such as "Pak Fei Trade Limited" as well as others. These transfers and invoices ranged from \$278,000 to over \$1.95 million, according to the court documents.
- ❖ The fraudulent invoices and money transfers led the company to transmit nearly \$11 million overseas - and most of it has not been recovered, the documents show.
- ❖ As the investigation continued, the FBI also found additional victims of this alleged criminal group, including the Red Wing Shoe Company of Red Wing, Minnesota, which told agents that the company had been swindled out of more than \$100,000 in early 2018, according to the court papers.

CASE STUDY - EFCC

About two decades ago, the Nation's Commission in charge of war against Economic and Financial Crimes arrested two young men; Andy and Willy, who claimed to be undergraduates of a reputable Federal University in the Country, for an alleged N5.05bn fraud.

Two bureau de change operators, were also arrested in connection with the alleged crime. The suspects were also accused of being members of a syndicate that specialized in breaking into the computer data base of two financial institutions (Sandy Bank and Swampy Bank) to carry out dry posting of funds.

The Commission's spokesman, Mr. Jerry acknowledged the arrest as a major achievement and a boost in their fight against Financial crime in the Country. However, he lamented the poor attitude and general lack of cooperation of other law enforcement agencies. particularly the Police as a major setback. He also lamented the delays in the Nation' Legal System/process which often results in delay in prosecuting criminals. He also decried the Country's social system; where people celebrate criminals instead of supporting the Commission to rid the Nation of the criminal elements.

QUIZ: Identify the Parties/Stakeholders in the case and enumerate the Three (3) major challenges in fighting Economic and Financial crime as highlighted by the Agency's spokesman, Mr. Jerry?



End of Module 4

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

- ☐ The Spirit of Compliance
- ☐ Statutory and Regulatory Framework
- ☐ The Hard and Soft Compliance Framework
- ☐ Risk-Based Approach to AML/CFT
- ☐ Case Study

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

❑ THE SPIRIT OF COMPLIANCE

❑ Compliance: What is compliance?

- ❖ Compliance is usually referred to as the modern Art of Self-Defense. It also means adherence with applicable legal and regulatory requirements, management policies and internal control system to ensure quality conduct of business. A vital element of an organization's internal controls system which within itself caters for that system's effectiveness and efficiency from an independent managerial perspective.
- ❖ System of risk management and disclosures of information to stakeholders, within a paradigm of management accountability. Compliance for operations is mainly complying with all regulatory requirements imposed on the operation of accounts.
- ❖ **Responsibility for Compliance**
- ❖ **Board of Directors**
 - a) Compliance policy.
 - b) Overseeing the management of the bank's compliance risk.
- ❖ **Management**
 - a) Management of the bank's compliance policy and risk.
 - b) Establishing a permanent and effective compliance function within the bank Report to the board of directors on the management of the bank's compliance risk.



❖ **Compliance Unit**

- a) Liaise with regulators & scanning the regulatory horizon
- b) Strategic Advice
- c) Translating regulatory compliance into policy
- d) Assist management in managing compliance risks

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

❑ THE SPIRIT OF COMPLIANCE

❖ Compliance Risk

- 1) Compliance Risk is the risk of legal sanctions, material financial loss, or loss to reputation the Bank may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of best/good practice.
- 2) Compliance risk is sometimes also referred to as integrity risk because a bank's reputation is closely connected with its adherence to principles of integrity and fair dealing.
- 3) Banks must be compliant because the cost and penalties for noncompliance is high.

❖ Disciplinary Issues and Sanctions for non-Compliance

- ❖ The ideal situation is for all staff to adhere to the laid down policies.
 1. There are always incidences of non-compliance due to various reasons.
 2. Institutions have a reward and sanction policy.
 3. Compliance is rewarded whilst non-compliance must be punished.
 4. Punishment for non-compliance ranges from warning, suspension, dismissal, to outright termination.
 5. In most instances of a breach in compliance, the bank incurs losses. There may also be reputational issues
 6. Each institution develops its disciplinary process in line with best practice.

❑ THE SPIRIT OF COMPLIANCE

Maintaining a High Level of Awareness – A Continuing Journey & Developing Sustainability

- ❑ Compliance is about individual and organizational behavior and is the shared responsibility of everyone who works for the Organization. It begins with your respective personal commitment to doing the right thing.
- ❑ The goal is to provide the training, resources and “know-how you need to work” within the rules. The objective is to ensure a workplace in which everyone is comfortable voicing their concerns and in which everyone knows that what they say matters.”
- ❑ Compliance is essential to “quiet running” and to building an organization that deserves the trust of customers, investors, employees, regulators, and the communities in which we operate.”



Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

❑ STATUTORY AND REGULATORY FRAMEWORK

Main Bank Regulators in Nigeria

Nigeria's central financial regulator is the Central Bank of Nigeria. Unlike some other places, Nigeria doesn't have a government agency that specifically regulates the financial sector; instead, the Corporate Affairs Commission—which regulates all businesses in Nigeria—oversees banking compliance.

Regulatory	Type	Objective
Central Bank of Nigeria (CBN)	Licensing & Supervision	Issues licenses required for banks to operate, develops operating guidelines for Nigerian banks, and supports the federal government's monetary policies.
Corporate Affairs Commission (CAC)	Licensing & Supervision	Registers necessary information about Nigerian businesses, including banks, for regulatory purposes.
Nigeria Deposit Insurance Corporation (NDIC)	Capital Adequacy & Risk Management	Liquidates failed Nigerian banks in an orderly fashion, including paying insured amounts to bank customers.
Financial Reporting Council of Nigeria (FRCN)	Financial Reporting & Disclosure	Develops, publishes, and enforces financial reporting standards for Nigerian organizations.
Economic & Financial Crimes Commission (EFCC)	AML & CFT	Investigates incidents and enforces laws related to money laundering, fraud, and other financial crimes.
Nigeria Financial Intelligence Unit (NFIU)	AML & CFT	Receives and analyzes financial reports from Nigerian organizations for evidence of financial crime, and reports it to the appropriate authorities.

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

❑ STATUTORY AND REGULATORY FRAMEWORK

❑ Main Bank Regulations Nigeria

- ❖ **Banks and Other Financial Institutions Act (*Licensing & Supervision*):** Sometimes called the BOFIA, this is the main banking regulation law in Nigeria. It sets requirements for licensing, capital adequacy, operation, and supervision of banks in Nigeria.
- ❖ **Companies and Allied Matters Act (*Licensing & Supervision*):** Establishes the Corporate Affairs Commission (CAC) and requires all businesses in Nigeria, including banks, to register their information with the CAC before beginning operation.
- ❖ **Nigerian Deposit Insurance Corporation Act (*Capital Adequacy & Risk Management*):** Created the NDIC and outlines what happens when the CBN steps in to manage a failing bank. It also governs paying out insured deposit amounts to the failing bank's customers.
- ❖ **Money Laundering Prevention and Prohibition Act (*AML & CFT*):** Provides an institutional and legal framework for preventing, detecting, and prosecuting money laundering and other financial crimes in Nigeria. Responsible for creating AML bodies such as the EFCC, NFIU, and the EFCC-led Special Control Unit against Money Laundering (SCUML).
- ❖ **Corporate Governance Guidelines for Commercial, Merchant, Non-Interest and Payment Service Banks in Nigeria (*Internal Controls & Audits*):** Outlines minimum standards for corporate governance of banks in Nigeria.

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

❑ THE HARD AND SOFT COMPLIANCE FRAMEWORK

- ❖ **The hard and soft compliance framework** refers to two distinct approaches to achieving organizational compliance.
- ❖ **"Hard" Compliance** focuses on formal, tangible measures like policies, procedures, and automated controls.
- ❖ **"Soft" compliance**, on the other hand, emphasizes intangible elements like culture, values, and ethical behavior. A successful compliance framework often balances both hard and soft approaches to ensure effective and sustainable adherence to regulations and ethical standards.

Hard Compliance	Soft Compliance
❖ Tangible and Measurable: Hard controls are easily defined, documented, and monitored. ❖ Examples: Rules, policies, procedures, automated systems, and physical security measures. ❖ Focus: Ensuring compliance through established structures and processes. ❖ Strengths: Clear guidelines, easy to audit, and provides a foundation for accountability. ❖ Weaknesses: Can be rigid, may not address nuanced situations, and might be perceived as bureaucratic.	❖ Intangible and Influential:- Soft controls shape organizational culture, values, and ethical decision-making. ❖ Examples:- Leadership commitment, ethical codes of conduct, employee training, and open communication. ❖ Focus:- Instilling a culture of compliance and promoting ethical behavior. ❖ Strengths:- More adaptable to changing circumstances, fosters a sense of ownership, and can be more effective in promoting long-term compliance. ❖ Weaknesses:- Difficult to measure, can be subjective, and requires consistent effort to maintain.

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

❑ THE HARD AND SOFT COMPLIANCE FRAMEWORK

❖ **Balancing Hard and Soft:**

- ✓ Hard controls include transaction monitoring systems and strict adherence to AML/KYC regulations, while soft controls include ethical training for employees and promoting a culture of transparency.
- ✓ An effective compliance framework integrates both hard and soft controls. For example, while a policy might outline acceptable behavior, a strong ethical culture will encourage employees to internalize those values and act ethically even in the absence of strict oversight.
- ✓ This balance ensures that compliance is not just about ticking boxes but also about fostering a culture of integrity and responsibility.

❖ **Imbibing the Compliance Culture**

- ✓ By strategically combining hard and soft compliance measures, organizations can build robust and sustainable compliance frameworks that protect against risks, enhance reputation, and promote ethical behavior.
- ✓ This refers to entrenching compliance as a way of life (lifestyle) of an organization
- ✓ Compliance becomes voluntary, 'automatic', in-built, and non-negotiable. The organization (staff, management, Board, etc.) sees Compliance as an integral part of the business.
- ✓ The culture of adhering to policies and procedures is ingrained in everyone's psyche
- ✓ Compliance becomes the learned and shared behavior of everyone in the organization.

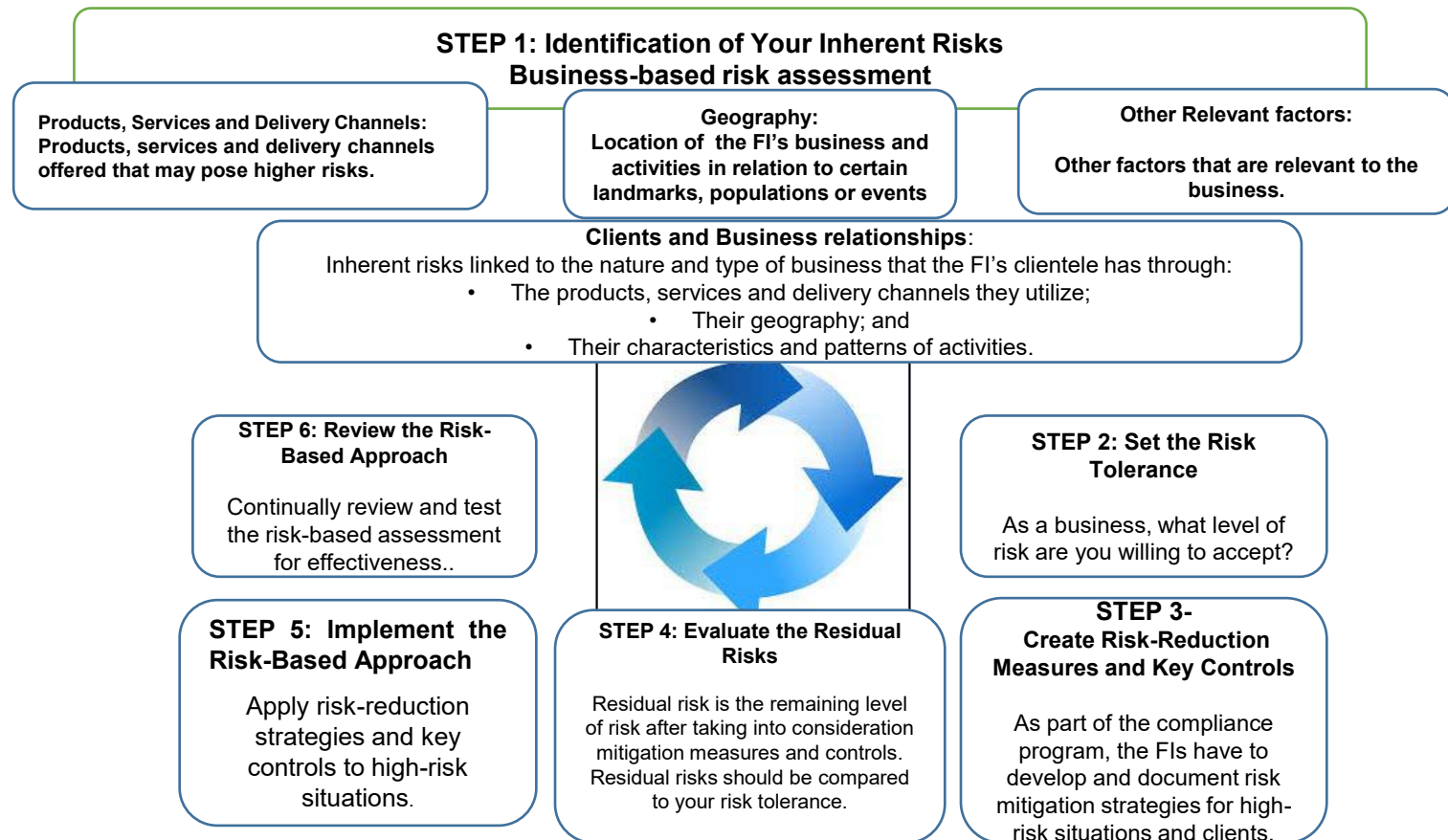


RISK BASED APPROACH to AML/CFT

- ❑ One of the most important changes was the increased emphasis on the RBA to AML/CFT, especially in relation to preventive measures and supervision. The 2012 FATF Recommendations consider the RBA to be an 'essential foundation' of a country's AML/CFT framework. This is an over-arching requirement applicable to all relevant FATF Recommendations.
- ❑ According to the Introduction to the FATF 40 Recommendations, the RBA ***“allows countries, within the framework of the FATF requirements, to adopt a more flexible set of measures in order to target their resources more effectively and apply preventive measures that are commensurate to the nature of risks, in order to focus their efforts in the most effective way”***.
- ❑ The application of RBA is therefore not optional, but a prerequisite for the effective implementation of the FATF Standards.
- ❑ **R 1: Risk-Based Approach (RBA)**
- ❑ FATF Recommendation 1 permits countries and Financial Institutions (FIs) to adopt a Risk-Based Approach (RBA) in discharging their obligations in respect of countering AML and CFT.
- ❑ RBA is based on the principle that resources are limited therefore such resources need to be allocated in the most efficient manner and RBA does this.
- ❑ Adopting RBA implies that a risk management process is in place to recognize AML/CFT risks, undertake an assessment of the risks, and develop strategies to manage and mitigate the identified risks.
- ❑ This process is not static but dynamic as the risks may change over a period. It means that supervisors, financial institutions, and must intermediaries identify, assess, and understand the money laundering and terrorist financing (ML/TF) risks to which they are exposed, and implement the most appropriate mitigation measures. This approach enables them to focus their resources where the risks are higher.



RISK BASED APPROACH CYCLE



Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

Risk-Based Approach to AML/CFT – Customer Due Diligence (CDD)



Emerging Trends & Patterns
– Customer Due Diligence (CDD) & Ultimate Beneficial Owner (UBO)

The CDD Formula

- $CDD = KYC + KYCB + KYT + KYE + CM$

Where:

- KYC = Know Your Customer (identification, address, location, etc. as in mandate forms – customer profile).
- KYCB = Know Your Customers' Business (transaction profile, type and nature of business, sources of funds, risk profile, etc. as in KYC assessment Form)
- KYT = Know Your Customers' Transactions (Transaction Monitoring).
- KYE = Know Your Employee (Staff on-boarding practices should include background checks and a continuous monitoring system for fidelity and reliability).
- CM = Continuous Monitoring - changes in customer behavior through transaction monitoring etc.



AML/CFT Compliance is Everybody's Business

Presentations Topics – Module 5 – COMPLIANCE FUNDAMENTALS & FRAMEWORK

CASE STUDY FX breaches and AML lapses: The top 7 Nigerian banks fined \$10.7 million in 2024 – April 29, 2025 : (<https://financeinafrica.com/insights/regulatory-fines-nigerias->

- ❑ Three of Nigeria's key financial regulators imposed a combined \$10.7 million in fines on seven of the country's largest banks in 2024, marking an extraordinary rise of more than 6,000% compared to penalties of \$179,000 recorded in the previous year.
- ❑ The sanctions, disclosed in the banks' audited financial statements, were handed out by the Central Bank of Nigeria (CBN), the Securities and Exchange Commission (SEC), and the Nigerian Exchange Limited (NGX).
- ❑ Zenith Bank, Access Bank, Guaranty Trust Holding Company (GTCO), United Bank for Africa (UBA), First City Monument Bank (FCMB), FBN Holdings, and Fidelity Bank were among those fined for a range of regulatory infractions.
- ❑ The offenses cited included failures to comply with anti-money laundering (AML) protocols, lapses in cybersecurity incident reporting, breaches of customer protection rules, violations of foreign exchange regulations, and other supervisory requirements.
- ❑ Many of the violations stemmed from compliance demands introduced under Nigeria's major financial framework, particularly the Banks and Other Financial Institutions Act (BOFIA) 2020 and accompanying circulars from the CBN.
- ❑ Enacted to modernize Nigeria's financial system, BOFIA 2020 strengthened regulatory oversight, empowering the CBN to enforce tougher operational standards and intervene in struggling institutions.
- ❑ This backdrop has contributed to a more aggressive regulatory stance aimed at maintaining market integrity and safeguarding public trust as financial services become increasingly digital and complex.

Any lesson(s)
learned?

End of Module 5

Presentations Topics – Module 6 – CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

- ❑ The Principles of Customer Due Diligence
- ❑ The 20 Essentials of Customer Due Diligence
- ❑ The 4 Pillars of Customer Due Diligence
- ❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence
- ❑ Suspicious Transaction Report/Suspicious Activity Report (SAR/STR) Framework
- ❑ Case Study

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ The Principles of Customer Due Diligence

- ❑ Customer Due Diligence (CDD) principles involve verifying customer identity, understanding their business, and monitoring their activity to mitigate risks associated with financial crime and reputational damage. It's a crucial process for financial institutions and other businesses to comply with regulations, prevent illicit activities, and build trust with their customers.

❑ Core Principles of Customer Due Diligence:

1) Customer Identification and Verification:-

- This involves collecting and verifying customer information, including their name, address, date of birth, and other relevant details.
- For legal entities, this includes identifying beneficial owners and understanding the ownership structure.
- This step ensures that the business knows exactly who they are dealing with and that the information provided is accurate.

2) Understanding the Nature and Purpose of the Business Relationship:

- Businesses need to understand the purpose of the customer's account or relationship and the nature of their business activities.
- This helps in assessing the risk associated with the customer and establishing a baseline for ongoing monitoring.

3) Risk Assessment and Profiling:

- Based on the information collected, businesses need to assess the risk associated with the customer.
- This involves determining if the customer is low-risk, medium-risk, or high-risk based on factors like their industry, location, and transaction patterns.
- High-risk customers may require Enhanced Due Diligence (EDD).

4) Ongoing Monitoring:

- CDD is not a one-time process. It requires ongoing monitoring of customer transactions and activities to identify any suspicious behavior or changes in their risk profile.
- This includes monitoring for unusual transactions, changes in transaction patterns, and any negative media coverage.

5). Record Keeping:

- Businesses must maintain accurate and up-to-date records of all CDD information and monitoring activities.
- These records should be readily available for review by regulators and auditors.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

WHEN TO APPLY CUSTOMER DUE DILIGENCE (CDD) AND WHICH TYPE TO USE

Type of CDD	When to Apply	Description	Customer's Risk Profile*	Type of CDD
1. Standard due diligence	❖ Applied to determine and verify a new customer's identity and gain initial insight into its risk profile.	❖ It aims to ensure that at least essential checks are performed before a customer onboarding process.	❖ Applied to all Customers	❖ Standard Due Diligence
2. Enhanced Due Diligence	❖ When a customer isn't physically present during identification checks. ❖ When establishing a business relationship with a politically exposed person (PEP), i.e. an individual entrusted with a prominent public function. For example, a foreign or domestic member of parliament, a government minister, or their family members. A PEP typically presents a higher risk for potential involvement in bribery and corruption. ❖ When engaging in financial transactions with an individual from a High-risk country In any other situation where money laundering risks are high.	❖ It involves obtaining and verifying additional customer information and conducting more thorough background checks.	❖ High-Risk Customers	❖ Enhanced Due Diligence
3. Simplified Due Diligence	❖ When the customer poses very low risks of money laundering, terrorist financing, or other financial crimes.	❖ It entails a less strict approach in certain check aspects.	❖ Low-Risk Customers	❖ Simplified Due Diligence

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ THE FOUR (4) PILLARS OF CUSTOMER DUE DILIGENCE (CDD)

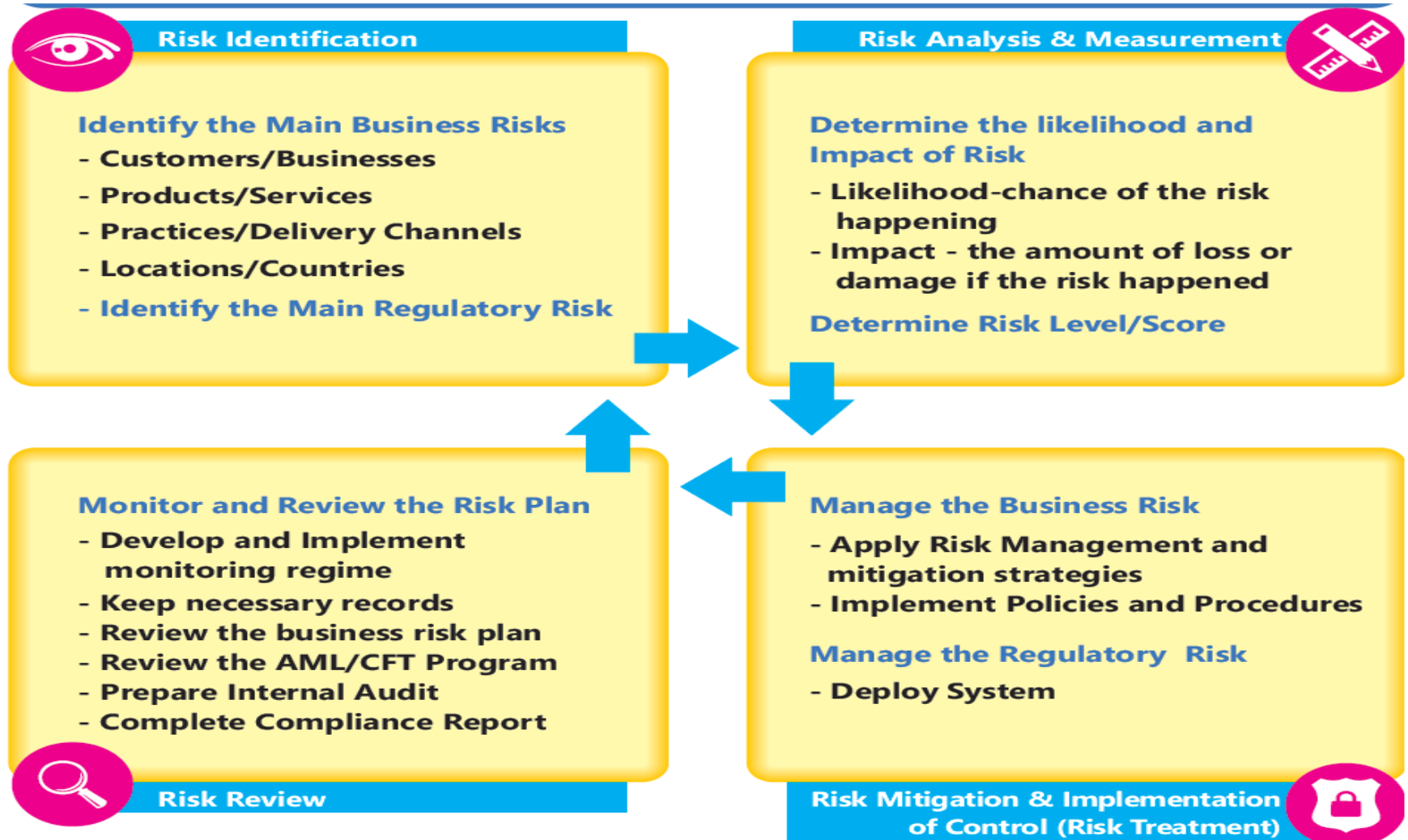
- ❑ The four pillars of Customer Due Diligence (CDD) are: Customer Identification and Verification, Beneficial Ownership Identification, Understanding the Nature and Purpose of the Business Relationship, and Ongoing Monitoring and Review. These pillars form the core of a robust CDD process, helping organizations identify and manage risks associated with their customers.
 - 1. Customer Identification and Verification:**
 - This involves collecting and verifying essential customer information, such as name, address, date of birth, and identification documents. This step ensures that the organization knows who they are dealing with and can confirm the customer's identity.
 - 2. Beneficial Ownership Identification:**
 - For legal entities, it's crucial to identify and verify the individuals who ultimately own or control the business. This helps prevent the use of shell companies for illicit purposes.
 - 3. Understanding the Nature and Purpose of the Business Relationship:**
 - This pillar focuses on understanding why a customer is establishing a relationship with the organization, including the types of transactions they expect to conduct. This information helps establish a baseline for normal activity and detect unusual or suspicious behavior.
 - 4. Ongoing Monitoring and Review:**
 - This involves continuously monitoring customer accounts and transactions for any unusual or suspicious activity. This includes reviewing customer profiles periodically and updating information as needed. This ensures that the organization remains aware of potential risks associated with the customer relationship over time.
- ❑ These four (4) pillars are interconnected and work together to create a comprehensive CDD process that helps organizations mitigate risks, comply with regulations, and prevent financial crimes.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❖ Risk-Based Approach (RBA) Module



Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❑ What is the Risk-Based Approach (RBA)

- ❖ The Risk-Based Approach (RBA) is a strategic method recommended by international bodies such as the Financial Action Task Force (FATF). It enables financial institutions to allocate their resources proportionately to the level of risk posed by their customers, products, services, and geographic exposure.
- ❖ When dealing with PEPs, the RBA ensures that institutions apply enhanced scrutiny without imposing unnecessary restrictions on legitimate activities.

❑ RBA in the Context of PEPs

❖ Identification of PEPs

- Financial institutions must have robust systems to identify PEPs during the onboarding process and on an ongoing basis. This includes:
 - Screening customers against reliable PEP databases using intelligence and open-source information to identify potential PEPs.

❖ Risk Assessment

- Institutions should assess the specific risks associated with each PEP, considering factors such as:
 - Role and Influence: A head of state poses higher risk than a local Councillor.
 - Jurisdiction: PEPs from countries with high levels of corruption or weak AML/CFT frameworks are riskier.
 - Nature of Relationships: Business associates or family members with direct financial ties to a PEP elevate the risk.

❑ Enhanced Due Diligence (EDD)

Given the inherent high risk associated with PEPs, institutions are required to perform EDD, which involves:

- ❑ Verifying the source of funds and wealth to ensure legitimacy.

Obtaining senior management approval before establishing or continuing business relationships.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❑ RBA in the Context of PEPs – (Continued)

❖ Identification of PEPs

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 - Nature of Relationships: Business associates or family members with direct financial ties to a PEP elevate the risk.

❖ Enhanced Due Diligence (EDD)

- Given the inherent high risk associated with PEPs, institutions are required to perform EDD, which involves:
 - Verifying the source of funds and wealth to ensure legitimacy.
 - Obtaining senior management approval before establishing or continuing business relationships.
 - Conducting ongoing monitoring of transactions to detect unusual or suspicious activities.
 - Performing more frequent EDD reviews.

❖ Transaction Monitoring

- Implementing robust systems to flag high-value or unusual transactions associated with PEPs.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❑ RBA in the Context of PEPs – (Continued)

❖ Regulatory Expectations and Best Practices

- Regulatory authorities worldwide emphasize the need for institutions to adopt a Risk- Based Approach to PEPs.
- **Key expectations include:**
 - Tailored Policies and Procedures
 - Institutions must develop and implement policies that clearly define how PEP risks are identified, assessed, and managed.
 - Training and Awareness
 - Staff should be trained to recognize PEP-related risks and apply EDD measures effectively.
 - Technology Integration
 - Leveraging technology to automate screening, monitor transactions, and manage alerts efficiently.
 - Collaboration and Information Sharing
 - Engaging with regulators and sharing information within legal frameworks to strengthen AML/CFT efforts.
- ❖ Dealing with Politically Exposed Persons (PEPs) requires a careful balance between risk management and business facilitation. By adopting a Risk-Based Approach, financial institutions can ensure compliance with AML/CFT regulations while allocating resources effectively and managing reputational risks.
- ❖ The key lies in tailoring controls to the unique risks posed by each PEP, ensuring that legitimate business opportunities are not unnecessarily hindered while safeguarding against potential misuse of financial systems.
- ❖ In a world of evolving financial crime threats, the RBA remains an indispensable tool in achieving both compliance and business sustainability.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❑ RBA in the Context of Ultimate Beneficial Owners (UBOs)

- ❖ The identification of Ultimate Beneficial Owners (UBOs) is crucial in an Anti-Money Laundering (AML) and Counter-Terrorist Financing (CFT) framework, especially when employing a risk-based approach.
- ❖ This approach requires financial institutions to assess and mitigate the risks of money laundering and terrorist financing associated with their customers, including the identification of UBOs who ultimately own or control the customer.
- ❖ **Ultimate Beneficial Owner (UBO):**
 - A UBO is the natural person(s) who ultimately owns or controls a customer, or the person on whose behalf a transaction is conducted. This could be the person who owns more than a certain percentage of shares, controls the management, or benefits from the customer's activities.
- ❖ **Risk-Based Approach (RBA):**
 - This approach emphasizes identifying and understanding the money laundering and terrorist financing risks a financial institution faces and then implementing appropriate measures to mitigate those risks.
- ❖ **Regulatory Requirements:**
 - **Nigeria: - CBN Circular to All Banks & Financial Institutions: Reference FPR/DIR/PUB/CIR/001/064 – Dated January 12, 2023 ON GUIDANCE ON ULTIMATE BENEFICIAL OWNERSHIP OF LEGAL PERSONS AND LEGAL ARRANGEMENTS**
 - The Central Bank of Nigeria (CBN) requires financial institutions to adopt a risk-based approach in identifying and verifying beneficial owners.
- ❖ By effectively implementing a risk-based approach and focusing on identifying UBOs, financial institutions can play a vital role in preventing the misuse of financial systems for illicit purposes.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❑ RBA in the Context of Ultimate Beneficial Owners (UBOs)

❑ Relationship Between UBOs and RBA:

1. Risk Assessment:

- A key part of the RBA is conducting a thorough risk assessment to identify potential vulnerabilities to money laundering and terrorist financing. This includes assessing the risk associated with different types of customers, products, and services.

2. UBO Identification as a Mitigation Measure:

- Identifying UBOs is a crucial part of the risk mitigation process. By understanding who ultimately owns or controls a customer, financial institutions can better assess the potential risks associated with that customer and implement appropriate measures to mitigate those risks.

3. Enhanced Due Diligence (EDD):

- In higher-risk situations, such as when dealing with complex ownership structures or Politically Exposed Persons (PEPs), financial institutions may need to apply Enhanced Due Diligence (EDD) measures. This could involve more in-depth investigation into the UBOs' background, source of funds, and business activities.

4. Ongoing Monitoring:

- The risk assessment and UBO identification process should be ongoing. Financial institutions need to continuously monitor their customers and their transactions to ensure that the identified risks remain accurate and that appropriate mitigation measures are in place

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

❑ EMERGING ISSUES IN CUSTOMER DUE DILIGENCE

- ❖ Emerging issues in Customer Due Diligence (CDD) revolve around the increasing sophistication of financial crime, particularly in the digital realm, and the need for robust, adaptable, and technologically advanced CDD processes.
- ❖ Key challenges include: data privacy and security in digital onboarding, balancing automation with human oversight, keeping pace with evolving regulatory standards, and addressing the rise of sophisticated fraud and cybercrime.
- ❖ **Key Emerging Issues in Customer Due Diligence (CDD):**
 - **Digitalization and Data Privacy:-** The shift to digital onboarding and operations necessitates robust measures to protect sensitive customer data while complying with regulations like GDPR and CCPA.
 - **Evolving Regulatory Landscape:-** Staying abreast of changing AML/CFT (Anti-Money Laundering/Combating the Financing of Terrorism) regulations and adapting CDD processes accordingly is crucial.
 - **Technological Advancements:-** Implementing AI and machine learning for CDD requires careful consideration of accuracy, reliability, and the potential for bias.
 - **Fraud Detection and Prevention:-** Criminals are constantly developing new methods to bypass CDD measures, including identity theft, phishing, and synthetic identity fraud.
 - **Balancing Automation and Human Oversight:-** While automation can enhance efficiency, it's essential to maintain human oversight to identify and address complex or nuanced situations.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

☐ RBA, PePs, Ultimate Beneficial Owner (UBO) and Emerging Issues in Customer Due Diligence

☐ EMERGING ISSUES IN CUSTOMER DUE DILIGENCE

❖ Key Emerging Issues in Customer Due Diligence (CDD): - (Continued)

- **Ongoing Monitoring and Risk Assessment:-** CDD is not a one-time event; ongoing monitoring and risk assessments are vital to adapt to changing customer behaviors and emerging threats.
 - **Collaboration and Data Sharing:-** Finding ways to share customer data securely and effectively between financial institutions and other relevant parties is crucial for effective CDD, while also addressing data privacy concerns.
 - **Enhanced Due Diligence (EDD):-** Specific customer segments, such as Politically Exposed Persons (PEPs) or those from high-risk jurisdictions, require enhanced due diligence measures, including verifying the source of funds and wealth.
 - **Impact on Financial Inclusion:-** New technologies and CDD approaches should be implemented in a way that doesn't inadvertently exclude vulnerable populations or small businesses.
 - **Vendor Due Diligence:-** Firms must ensure that third-party service providers involved in CDD are also equipped to handle evolving fraud and regulatory requirements.
- ☐ In essence, the future of CDD requires a proactive, adaptable, and technologically advanced approach that balances regulatory compliance, operational efficiency, and the need to combat financial crime effectively.

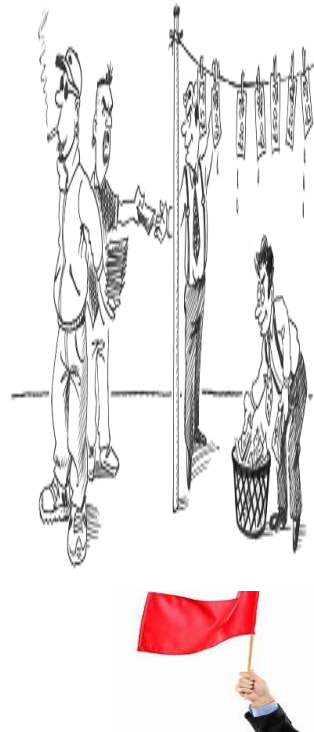
Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ Report Suspicious Activity / Suspicious Transaction (SAR/STR) Framework

❖ Introduction - What Is a Suspicious Transaction?

- (a) **As** part of its fresh move against money laundering, the Federal Government has enforced a fine of N1m per day for any financial institution or non-financial business and profession that fails to report any suspicious transaction.
- (b) This is according to the Money Laundering (Prevention and Prohibition) Bill, 2022, which the President, Major General Muhammadu Buhari (rtd.), recently assented to and passed into law.
- (c) In Section 7 (1) of the Act, which was titled 'Suspicious transaction reporting', it was stated that a suspicious transaction could be any transaction that involves an unjustifiable or unreasonable frequency.
- (d) It also involves any transaction surrounded by conditions of unusual or unjustified complexity, appears to have no economic justification or lawful objective or is inconsistent with the known transaction pattern of the account or business relationship.
- (e) The Act added that a suspicious transaction could also be any transaction, which in the opinion of the financial institution or non-financial business and profession, involves the proceeds of criminal activity, unlawful act, money laundering or terrorist financing.
- (f) Section 7(10) of the Act read in part "A financial institution or designated non-financial business and profession which fails to comply with the provisions of subsections (1) and (2) of this section commits an offence and is liable on conviction to a fine of N1m for each day during which the offence continues."
- (g) It added that the directors, officers and employees of financial institutions and designated non-financial businesses and professions who implement their duties under this Act in good faith are not liable to any civil or criminal liability or have any criminal or civil proceedings brought against them by their customers.

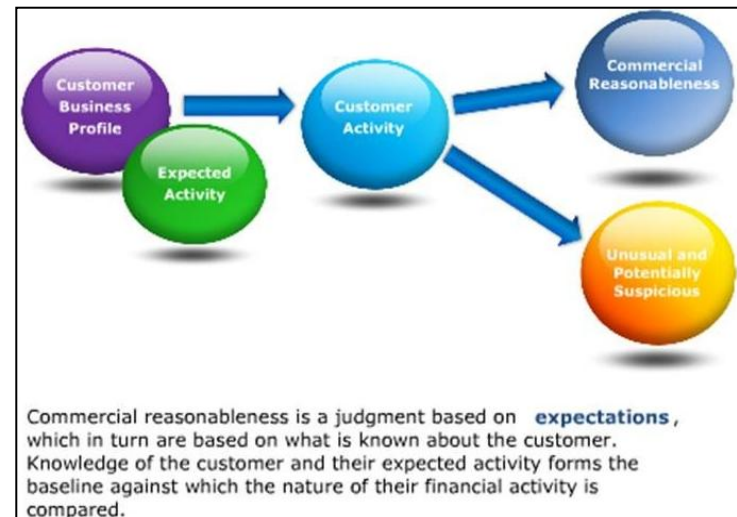


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– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ What Is Suspicious?

- ❑ Synonyms for suspicious are, among others:
- ❑ Careful - Skeptical - Watchful -Cautious - Doubtful - Wary, etc.
- ❑ Suspicious “feeling that somebody has done something wrong, illegal or dishonest, without having any proof.” (Oxford Learner’s Dictionary)
- ❑ Suspicion (Noun), becoming suspicious.
- ❑ Suspicious Activity/Transaction is such activity or inaction or transaction which has the indicators (**Red Flag(s)**) of Money laundering /Financing of Terrorism; it is a transaction you know or have reasonable grounds to believe exhibits indicators of crime proceeds/terrorist activities.
- ❑ Transactions Include:
 - ✓ Deposits
 - ✓ Withdrawals
 - ✓ Inter-account transfers
 - ✓ Currency exchanges
 - ✓ Extensions of credits
 - ✓ Automated Clearing House (ACH) transactions
 - ✓ ATM transactions
 - ✓ Purchases/sales of securities, etc.



Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ Report Suspicious Activity / Suspicious Transaction (SAR/STR) Framework

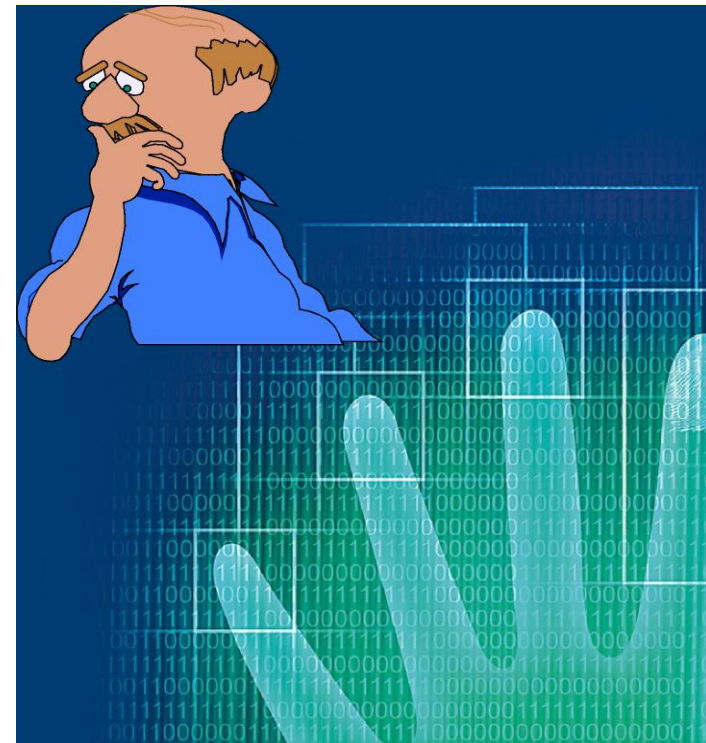
How to decide that a Transaction is Suspicious ?

Consider using the SAFE Approach.....

The Four (4) Steps are :-

- ❑ Screen for suspicious activity indicators
- ❑ Ask appropriate questions
- ❑ Find out the customer's record
- ❑ Evaluate all the above information.

If still suspicious or unsure, make a Suspicious Transaction Report

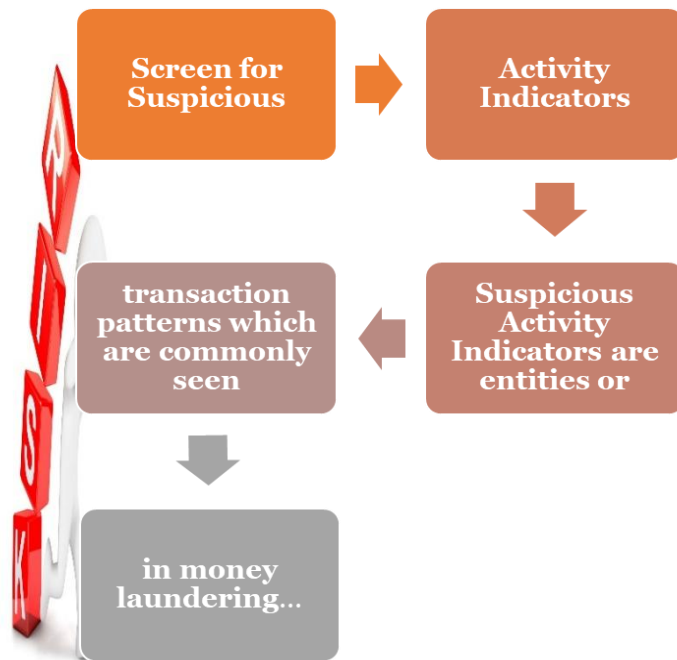


Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ Report Suspicious Activity / Suspicious Transaction (SAR/STR) Framework

❖ STEP 1 – Seek for Suspicious Activity Indicators



What Is Suspicious?

Fund Transfer Activities	Suspicious Customer
❖ Sending or receiving frequent or large volumes of wire transfers to & from offshore institutions and individuals ❖ Depositing funds into several accounts, usually in amounts below a reportable threshold (smurfing), & then consolidating into a master account & transferring them into a foreign account; ❖ Instructing the bank to transfer funds abroad & to expect an equal incoming wire transfer from other sources; ❖ A customer exhibits a total lack of concern regarding risks, commissions or other transaction costs. ❖ A customer's account has unexplained or sudden extensive wire activity, where previously there had been little or no activity without	❖ Where customer's identification is discovered to be fake ❖ Where customer is acting as an agent and refuses to disclose the identity of the Principal ❖ Minor's account with high volume of transaction involving huge sums ❖ Where customer engages in business he is not registered to undertake ❖ Frequent transfer of funds to or from border towns or branches ❖ High credit turn over when the business is not that lucrative ❖ When Customer is in the habit of issuing dud cheques ❖ Possible client or his associates in relation to previous crimes ❖ A typical or uneconomical fund transfer to or from foreign jurisdiction ❖ Customer having many similar account type with no justification ❖ Attempts to avoid identifying final beneficiaries of accounts (Trust/Nominees) ❖ Unsatisfactory explanation for business to be undertaken ❖ Deposits at various branches the same day for no logical reason ❖ Account turn over that does not match the client's profile ❖ Signatories on corporate account owned by an account are changed frequently ❖ Customer opens a salary account as a civil servant; however, he frequently receives international wire transfers.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ Report Suspicious Activity / Suspicious Transaction (SAR/STR) Framework

Suspicious Activities / Transactions Red Flags



Activities Inconsistent with Customer's Business	Accounts with Unusual Characteristics / Activities	Loans
❖ Corporate account(s) where deposits or withdrawals are primarily in cash rather than cheques and transfers; ❖ A customer who operates a retail business & provides cheques cashing service; and does not make large withdrawals of cash against cheques deposited. This may indicate the customer has another source of cash; ❖ Unusual cash purchases of MCs; ❖ Accounts with a large volume of deposits in MCs and/or wire transfers when the nature of the account holder's business does not justify such activity. ❖ Sudden transactions in an account which had previously been inactive (or with minimal activity) for at least six months.	❖ An account for a customer at an address outside the bank's service area. Pay special attention to accounts with addresses outside our region/state of operations (and addresses outside Nigeria) ❖ A loan collateralized by a certificate of deposit or other investment vehicle ❖ An account or customer that has frequent deposits or large amounts of currency wrapped in currency straps that have been stamped by other banks ❖ Account to which money orders or MCs carrying unusual symbols or stamps are deposited by mail	❖ Customer pays loan with monetary instruments and always under threshold amount ❖ Customer pays loan with cheques from 3rd parties ❖ Customer makes loan payments in cash and is not employed in a cash intensive business ❖ Sudden payment of problematic loans with no reasonable explanation of the source of funds ❖ Customer purchases certificates of deposit with cash and uses them as collateral for loan then makes payments to loan in cash ❖ Presentation of fake documents for Bank facility

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

Report Suspicious Activity / Suspicious Transaction (SAR/STR) Framework

❖ Other Suspicious Activities / Transactions Red Flags

Nature of Business / Customer	Transaction Patterns	Nature of Accounts
❖ A business that is reluctant to provide complete information regarding the purpose of the business, prior banking relationship, references etc. ❖ A customer who presents unusual or suspicious identification documents that the bank cannot verify. ❖ A business that presents financial statements noticeably different from those of similar businesses. ❖ A customer who insists on meeting bank personnel at a location other than their place of business. ❖ A business that the business address that is located in a residential building or provide inaccurate telephone numbers. ❖ Involve a shelf company, i.e., one which has no actual business. ❖ A shelf company whose beneficial owners are difficult to trace. ❖ Accounts referred to the bank by an intermediary (e.g., law firms, accounting firms etc.) who did not perform any KYC/source of funds checking.	❖ Large cash deposits made by an individual or company whose business activities do not normally generate substantial amount of cash. ❖ Sudden and inconsistent change in currency transactions or patterns. ❖ A customer who suddenly pays down a large problem loan with no reasonable explanation of the source of funds. ❖ A depositor who purchases cashier's checks, money orders, travelers checks etc. with large amount of cash. ❖ U-turn" transactions, i.e., money passes from one account to another and then back to the first account. ❖ Numerous cash deposits/withdrawals/transfer in a personal account in a day; especially if most of these transactions were made through ATMs.	❖ Account used as temporary repository for funds. ❖ Payments or receipts with no apparent links to legitimate contracts, goods, or services. ❖ The transaction has no business or apparent lawful purpose or is not the sort in which the particular customer would normally engages in, and the bank knows of no reasonable explanation for the transaction after examining the available facts including the background and possible purposes of the transaction.



Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ STEP 2 – Ask Appropriate Questions and Focus on the Trigger Points

If practical, the staff should ask the customer:

- The reason for the transaction
- The source and/or beneficiary

The level of suspicion is raised if the customer cannot give a legitimate and reasonable explanation for the activity

- Bank staff may be unwilling to ask questions as customers may be offended and go elsewhere
- Overcome the problem by indirect questioning, for example:- Focus on the Trigger Points
- If a customer carries out large and / or frequent cash transactions, ask questions on the pretext of Offering a secure alternative to cash transaction and further ask related questions.
- Indirect Questioning
- Some customers will admit to unlawful activity
- Legitimate customers may actually use the additional services offered



TRIGGER POINTS

- ❖ Unjustifiable & Unreasonable Frequency
- ❖ Unusual Nature
- ❖ Complexity
- ❖ Illegality
- ❖ Lacking Economic Justification
- ❖ Inconsistencies with Profile
- ❖ Inconsistencies with Previous Transactions
- ❖ Terrorist Financing Patterns and Trends
- ❖ Transactions of Significant Nature

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ STEP 3 – Find Out the Customer's Record

Personal Account Holders : The following should already be known :-

- Stated employment and/or salary
- Residential Address
- General Appearance
- Age
- Previous level of financial activity
- Type of previous financial activity

Corporate Customers

- Level of previous financial activity
- Type of previous financial activity



IF THE CUSTOMER'S ACTIVITY IS UNEXPECTED, THE LEVEL OF SUSPICION IS RAISED.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ STEP 4 – Evaluate All the Information from the Three (3) Previous Steps

- For example :-

- ❖ One or more of the suspicious indicators is present (Step One);
- ❖ The customer cannot give a reasonable, legitimate explanation (Step Two);
- ❖ Considering what is known about the customer, the activity is unexpected (Step Three);

❑ Is it suspicious? YES – make a REPORT



SUSPICIOUS TRANSACTIONS REPORTING

– Other Issues To Consider

- To file or not to file – Quality vs. Quantity of Reporting
- How much due diligence/research/pattern analysis should be performed and documented in the reporting?
- Extent of business involvement to determine if a report should be filed
- Action to take following the filing of a report, e.g. enhanced monitoring
- Should an account be closed following the filing of the report?
- Communication with the law enforcement or Regulator

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

STEP 4 – Evaluate All the Information from the Three (3) Previous Steps



- Unjustifiable & Unreasonable Frequency
- Unusual Nature
- Complexity
- Illegality
- Lacking Economic Justification
- Inconsistencies with Profile
- Inconsistencies with Previous Transactions
- Terrorist Financing Patterns and Trends
- Transactions of Significant Nature

- 5Ws + H: Who, What, Where, When, Why & How
- Who conducted the transaction?
- What instruments were used?
- Where did the transactions take place?
- When did the transactions take place?
- Why do you think its suspicious?
- How did the transaction occur? Narrative

- All relevant information should be obtained/ collected and appropriately recorded.
- Records maintained should enable an independent reviewer (whether internal or external) to understand the Source of Wealth (SoW) and how it was acquired on the basis of information recorded.
- It is important to document the questions asked and the answers given by the customer and retain copies of any supporting material the customer has provided or independently obtained

STR LINKAGE

There is a need to link current STR with previous cases. During the linkage unearth new suspicious findings in the customer database.

This could happen that a suspicious customer who was reported may have an accomplice yet to be reported

Link the present STR with the previous one in order to provide financial lead to the FIU and LEAs



Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

Statutory Penalties On STR

- Any person who commits an offence under the Money Laundering (Prohibition & Prevention) Act 2022 shall be liable on conviction to imprisonment for a term of not less than 5 years or more than 10 years without an option of Fine.
- Any person found guilty of an offence under the MLPA may also be banned indefinitely for a period of 5 years from exercising the profession, which provided the opportunity for the offence to be committed.
- Where the offender is a financial institution or corporate body, it shall be liable on conviction to a fine of not less than N3,000,000 and not more than N25,000,000.

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ Case Study - Ultimate Beneficial Owners (UBOs)



- ❑ A critical problem identified by banks, regulators, and examiners is the recurring and intractable problem of untying the knot of legal entities formed for the purpose of hiding the identity of the natural persons who are the Ultimate Beneficial Owners.



The funds were domiciled in Diamond Bank, Fidelity Bank, Eco Bank, Stanbic bank, Skye Bank, Zenith Bank, and First Bank.

Court orders final forfeiture of N9.2 billion, \$8.4 million linked to Patience Jonathan - [Olamide Fadipe](#) (Premium Times): [July 1, 2019](#)

Presentations Topics – Module 6

– CUSTOMER DUE DILIGENCE & REPORTING FRAMEWORK

❑ CASE STUDY - Supreme Court affirms six-year jail term for Ex-pension Director, Yusuf, orders N22.9b refund

Recently, the Supreme Court of Nigeria, in Abuja, affirmed the six years imprisonment imposed on a former Federal Director of Pensions (FDP,) Mr. John Yakubu Yusuf and ordered him to refund N22.9b to government covers.

The N22.9b huge sum was part of the police pension fund he admitted before a High Court of the Federal Capital Territory FCT to have been misappropriated.

Justice Tijjani Abubakar in a judgment in an appeal filed by Yusuf upheld the decision of the Court of Appeal which in 2018 sent him to six years imprisonment, in addition to the refund of the huge sum.

The apex court held that Yusuf and others engaging in fraudulent practices must be told through court judgments that it is no longer business as usual.

Justice Abubakar said that the appeal of the former federal pension Director seeking to set aside the six years of jail term against him was frivolous, vexatious, and devoid of merit.

Yusuf had dragged the Federal Government before the apex court seeking to overturn the six years of imprisonment slammed on him by the Court of Appeal.

The former pensions director, who is serving a six years jail term at the Kuje prison, also asked the Supreme Court to set aside the whopping sum of N22.9 billion naira he was ordered to refund the government by the Court of Appeal in a 2018 judgment.

He was sent to prison in 2018 by the Court of Appeal in Abuja upon being found guilty of defrauding the Federal Government to the tune of N22.9 billion naira through Police Pensions.

In his appeal lodged with the Supreme Court, he prayed to the apex court to set aside his conviction and the order that he should refund N22.9b.



End of Module 6

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

- ☐ Risk-Based Supervision
- ☐ Credible Deterrence
- ☐ Personal Liability
- ☐ Senior Managers & Certification Regime
- ☐ Fin Tech & Compliance Future
- ☐ Case Study

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Risk-Based Supervision

- ❖ Risk-based supervision (RBS) in banking is a supervisory approach that focuses on assessing the safety and soundness of financial institutions by evaluating their risk management practices and identifying potential risks.
- ❖ Instead of a one-size-fits-all approach, RBS tailors supervision to the specific risk profile of each institution. This method aims to improve the effectiveness of supervision by prioritizing resources on areas of highest risk and encouraging banks to proactively manage their risks.
- ❖ In essence, risk-based supervision is a more dynamic and responsive approach to banking supervision that aims to ensure the safety and soundness of financial institutions by focusing on their individual risk profiles and promoting robust risk management practices.
- ❖ **Key aspects of Risk-Based Supervision:**
 - **Risk Identification and Assessment:-** RBS involves identifying and assessing various risks that a bank might face, such as credit risk, interest rate risk, liquidity risk, and operational risk.
 - **Focus on Risk Management:-** It emphasizes the importance of robust risk management systems within banks, including the ability to identify, measure, monitor, and control risks.
 - **Tailored Supervision:-** RBS allows supervisors to tailor their approach to each bank based on its specific risk profile, rather than applying a uniform set of rules and regulations.
 - **Proactive Approach:-** It encourages banks to take a proactive approach to risk management, leading to a more stable and resilient banking system.
 - **Improved Resource Allocation:-** By focusing on high-risk areas, RBS helps supervisors allocate their resources more efficiently.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Credible Deterrence

- ❖ Credible deterrence in the banking sector refers to a system where potential wrongdoers believe that the risks of engaging in misconduct, such as fraud or illegal practices, outweigh the potential benefits, leading them to be dissuaded from such actions.
- ❖ This involves a combination of robust regulation, effective enforcement, and a clear message that misconduct will be met with serious consequences.
- ❖ Credible deterrence in the banking sector aims to discourage misconduct by making the consequences of illegal or unethical behavior severe enough to outweigh any potential benefits.
- ❖ This can be achieved through a combination of factors, including strong legal and regulatory frameworks, effective risk-based supervision, and the implementation of robust internal controls.
- ❖ Visualizations of this concept could include graphs showing the decline in fraudulent activity after stricter regulations are implemented, or knowledge graphs illustrating the interconnectedness of financial institutions and the potential for "spillover" effects from sanctions on one institution to others.
- ❖ Credibility is essential for deterrence to be effective. If potential wrongdoers believe that regulators lack the will or capacity to enforce the rules, or that penalties will be light or inconsistently applied, then the deterrent effect is weakened.
- ❖ A strong track record of enforcement, coupled with a clear commitment to holding individuals and institutions accountable, is vital for building and maintaining credibility.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ **Credible Deterrence:** - : Key Elements of Credible Deterrence

❖ **Strong Regulation and Supervision:**

- Clear and well-defined regulations are the foundation for credible deterrence. These regulations need to be comprehensive, covering various aspects of banking operations and potential misconduct.

❖ **Effective Enforcement:**

- Enforcement actions, including investigations, prosecutions, and sanctions, must be carried out rigorously and consistently. This sends a clear signal that misconduct will not be tolerated and that regulators are serious about holding individuals and institutions accountable.

❖ **Proportionate and Consistent Penalties:**

- The penalties for misconduct should be severe enough to discourage potential wrongdoers, but also proportionate to the offense. Consistency in the application of penalties across similar cases is crucial for maintaining credibility.

❖ **Public Awareness and Transparency:**

- Public awareness campaigns and transparency in enforcement actions can help build public confidence in the financial system and reinforce the message that misconduct is being addressed.

❖ **Early Intervention and Prevention:**

- Regulators should focus on early intervention and preventative measures, such as risk assessments and compliance monitoring, to identify and address potential issues before they escalate into serious misconduct.

❖ **Cooperation and Coordination:**

- International cooperation and information sharing among regulators can help to address cross-border misconduct and ensure that perpetrators cannot evade detection or punishment by operating in multiple jurisdictions.

❖ **Focus on Culture and Ethics:**

- Promoting a strong ethical culture within financial institutions is essential. This includes encouraging whistleblowing, fostering a culture of accountability, and ensuring that individuals are incentivized to act responsibly.



Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Personal Liability

- ❖ Personal liability for AML/CFT (Anti-Money Laundering/Counter-Terrorist Financing) compliance violations can extend to individuals within a financial institution, not just the organization itself.
- ❖ This means that senior management, compliance officers, and even individual employees could face personal penalties, including fines, imprisonment, and reputational damage, for failing to meet their AML/CFT obligations or for being involved in or aware of violations.
- ❖ **Key Aspects of Personal Liability:**
 - **Senior Management Responsibility:**
 - Senior management plays a vital role in ensuring AML/CFT compliance and can be held personally liable for failures to fulfill their obligations, or for being aware of violations and not taking appropriate action.
 - **Individual Employee Accountability:**
 - All employees, including compliance officers, have a potential personal liability for failing to report suspicious activity, tipping off a customer, or ignoring potential money laundering events.
 - **Scope of Liability:**
 - Personal liability can arise from both active involvement in AML/CFT violations and from inaction or negligence in addressing known issues.
 - **Consequences of Violations:**
 - Penalties can include hefty fines, imprisonment, and reputational damage, which can significantly impact both the individual and the organization.
 - **Importance of Due Diligence:**
 - Individuals must exercise due diligence and take reasonable steps to prevent and detect money laundering, including implementing robust compliance programs and monitoring systems.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Personal Liability

❑ Examples of Personal Liability:

❖ Failure to Report Suspicious Activity:

- An employee who fails to report a suspicious transaction, even if they suspect money laundering, could face personal liability.

❖ Tipping off a Customer:

- Providing information to a customer that could alert them to an AML investigation could result in severe consequences for the individual who disclosed the information.

❖ Ignoring Red Flags:

- Individuals who are aware of potential money laundering activities but fail to take appropriate action, or who actively avoid addressing the issue, can be held personally liable.

❖ Willful Ignorance:

- Deliberately ignoring or avoiding compliance obligations can also lead to personal liability.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Personal Liability

❑ Minimizing Personal Liability:

❖ Implement Robust AML/CFT Programs:

- Establish and maintain comprehensive AML/CFT programs that include risk assessments, due diligence procedures, and ongoing monitoring.

❖ Provide Training and Awareness:

- Ensure that all employees are adequately trained on AML/CFT obligations and procedures.

❖ Encourage Reporting:

- Creation of a culture where employees feel comfortable reporting suspicious activity without fear of reprisal.

❖ Act Promptly on Information:

- When red flags or potential violations are identified, take immediate action to investigate and address the issue.

❖ Seek Professional Advice:

- If there are concerns about AML/CFT compliance, seek guidance from legal and compliance professionals.

- ❑ **Personal liability for AML/CFT violations is a serious issue, and individuals must understand their obligations and take proactive steps to ensure compliance. By implementing robust AML/CFT programs, providing adequate training, and fostering a culture of compliance, individuals can minimize their personal risk and contribute to the overall effectiveness of the AML/CFT framework.**

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Senior Managers & Certification Regime

- ❖ The Senior Managers and Certification Regime (SM&CR) in AML/CFT holds senior managers and other key individuals accountable for their actions and ensures they understand and fulfill their responsibilities in combating financial crime.
- ❖ It clarifies who is responsible for what within a firm, and promotes a culture of accountability and good conduct. This regime is a key part of the Regulators' efforts to improve culture, governance, and accountability within financial services.
- ❖ In Nigeria, the Central Bank of Nigeria (CBN) also has regulations that emphasize the responsibilities of senior management in AML/CFT.
- ❖ These regulations require financial institutions to designate an AML/CFT Chief Compliance Officer with the necessary competence and independence to implement the institution's AML/CFT compliance program, and to report directly to the Board.
- ❖ The CBN also requires financial institutions to develop and implement AML/CFT policies, procedures, and controls to mitigate financial crime risks, and to ensure that their employees, agents, and others doing business with them understand the AML/CFT program.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Senior Managers & Certification Regime – (SM&CR)

❖ Key Components of the SM&CR in AML/CFT:

▪ Senior Managers Regime:

- This regime identifies and allocates specific responsibilities to senior individuals within a firm, holding them accountable for their areas of oversight, such as AML/CFT compliance. These individuals are subject to pre-approval by the regulator (FCA or PRA) and must have clearly defined responsibilities.

▪ Certification Regime:

- This regime applies to individuals who are not senior managers but whose roles could still pose a significant risk to the firm or its customers. Firms must assess these individuals' fitness and propriety to perform their roles and issue an annual certificate of competence.

▪ Conduct Rules:

- These rules apply to all staff, including senior managers and certified individuals, and set standards of conduct that are expected of them.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Senior Managers & Certification Regime – (SM&CR)

❖ How it applies to AML/CFT:

■ **Clear Accountability:**

- The SM&CR ensures that there is a clear line of sight to those responsible for AML/CFT within the Organization.

■ **Individual Accountability:**

- It makes it easier to hold individuals accountable for failures in AML/CFT controls and compliance.

■ **Promotes Good Conduct:**

- By clarifying responsibilities and setting expectations, the SM&CR helps to foster a culture of compliance and good conduct related to AML/CFT.

■ **Supervisory Tool:**

- Regulators use the SM&CR as a supervisory tool to assess firms' AML/CFT frameworks and identify areas for improvement.

■ **Enforcement:**

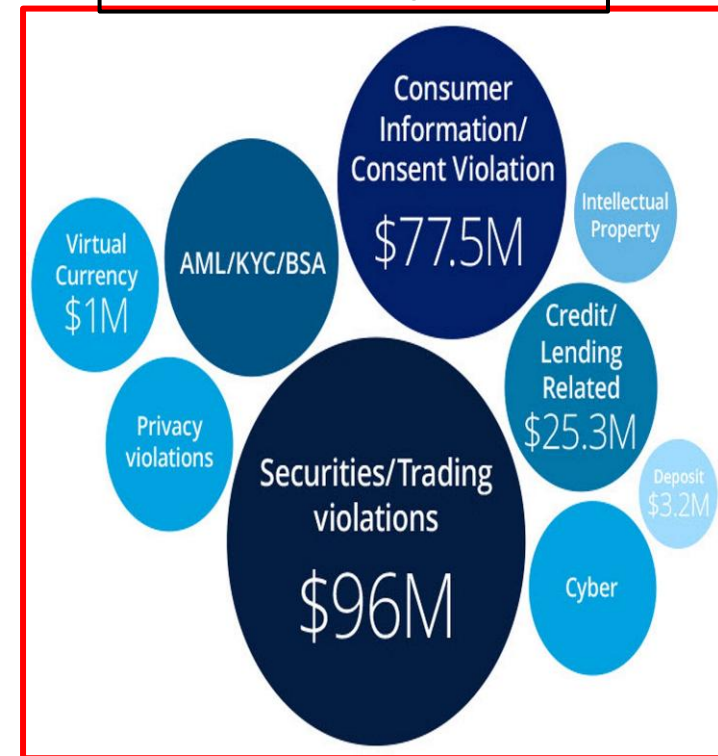
- Regulators can take enforcement action against individuals who breach the Conduct Rules or fail to meet their responsibilities under the SM&CR.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Fintech & Compliance Future

- ❑ For fintechs, the future is promising. But the future also brings increased exposure to regulatory requirements, sanctions, and legal actions.
- ❑ The rapid growth of fintech also presents new opportunities for financial crimes, including money laundering, terrorist financing, and fraud.
- ❑ Regulatory frameworks like the Anti-Money Laundering (AML) laws and Know Your Customer (KYC) requirements are essential to mitigating these risks.
- ❑ AML and KYC require fintech companies to verify the identity of their customers, monitor transactions, and report any potential illicit activity to appropriate authorities.
- ❑ The CBN has primary responsibility for regulating financial services in Nigeria. The CBN is the principal regulator mandated to issue licenses to banks and other financial institutions (including FinTechs) by virtue of the Banks and Other Financial Institutions Act, 2020 (“BOFIA”) and the Central Bank of Nigeria Act, 2007.

Illustrative recent regulatory actions involving fintechs



Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Fintech & Compliance Future

❖ Key compliance challenges in fintech

Despite the clear need for compliance, fintech companies face several challenges adhering to regulatory standards:

- **Rapidly Changing Regulations:** The fintech sector evolves quickly, often outpacing the ability of regulators to create laws that specifically address new technologies. Regulators are often playing catch-up, and fintech firms must be proactive in understanding and complying with emerging regulations.
- **Cost of Compliance:** Compliance can be expensive, particularly for startups or smaller fintech companies. Implementing security measures, hiring second-line-of-defense resources, and conducting audits requires significant spend.
- **Lack of Uniformity:** The lack of uniform global regulations creates confusion and inefficiencies for fintech companies operating internationally. Varying regulatory standards across jurisdictions require complex legal navigation, especially for firms offering cross-border services.
- **Tech Barriers:** Implementing compliance measures in rapidly evolving technological environments can be difficult. As fintech platforms leverage advanced technologies, such as AI and blockchain, promoting compliance with existing regulations may require continuous adaptation and innovation.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Fintech & Compliance Future

- ❖ In the Nigerian Fintech space, there is a combined regulatory oversight which will be largely dependent on the activity being carried out by the relevant Fintech company. What is obtainable is a mixed application of various statutes and regulations. The CBN, as a major regulator for Fintech in Nigeria, has issued the following guidelines for their Operations:
- ❖ CBN Risk-Based Cybersecurity Framework and Guidelines for Deposit Money Banks and Payment Service Banks, 2024.
- ❖ CBN Additional Measures for International Money Transfer Operators, 2024;
- ❖ CBN Guidelines on International Money Transfer Services, 2024;
- ❖ CBN Guidelines on Operations of Bank Accounts for Virtual Assets Service Providers, 2023;
- ❖ CBN Operational Guidelines for Open Banking in Nigeria, 2023;
- ❖ CBN Customer Due Diligence Regulations, 2023;
- ❖ CBN Guidelines on Contactless Payments in Nigeria, 2023;
- ❖ CBN Regulatory Guidelines on the e-Naira, 2021;
- ❖ CBN Regulatory Framework for Mobile Money Services in Nigeria, 2021;
- ❖ CBN Framework for Regulatory Sandbox Operations, 2020 (“Sandbox Operations Framework”);
- ❖ CBN Guidelines on Operations of Electronic Payment Channels in Nigeria, 2020;
- ❖ CBN Guidelines on Licensing and Operations of Payment Service Banks in Nigeria, 2020;
- ❖ CBN Regulation on Electronic Payments and Collections for Public and Private Sectors in Nigeria, 2019;
- ❖ CBN Regulatory Framework for the Use of Unstructured Supplementary Service Data Financial Services in Nigeria, 2018;
- ❖ CBN Regulation for Bill Payments in Nigeria, 2018;
- ❖ CBN Risk-Based Cyber-Security Framework and Guidelines for Deposit Money Banks and Payment Service Providers, 2018;
- ❖ CBN Regulation for Direct Debit Scheme in Nigeria, 2018;
- ❖ CBN Guidelines on Operations of Electronic Payment Channels in Nigeria, 2016;
- ❖ CBN Guidelines on Mobile Money Services in Nigeria, 2015;
- ❖ CBN Revised Guidelines for Finance Companies in Nigeria, 2014; and
- ❖ CBN Microfinance Policy, Regulatory and Supervisory Framework, 2011.

Presentations Topics – Module 7– THE FUTURE OF BANKING REGULATIONS AND COMPLIANCE

❑ Fintech & Compliance Future – Case Study

- ❑ The businessmen, Anslem Oshionebo and Opeyemi Odeyale pleaded guilty to the charges brought against them by the US Department of Justice.
- ❑ The fintech firm they operated, Ping Express US LLC, facilitated the remittance of \$160 million to Nigeria.
- ❑ Some of the funds are said to be proceeds of romance scams.

The Founders of Texas-based fintech firm Ping Express US LLC, Anslem Oshionebo and Opeyemi Odeyale, have pleaded guilty for failing to combat money laundering on their platform.



Ping Express US LLC Founders Anslem Oshionebo and Opeyemi Odeyale were found guilty

A statement by the US Department of Justice, which was seen by Business Insider Africa, explained that the businessmen failed to maintain anti-money laundering controls on their platform; a situation that allowed some of their customers to remit large sums of illegally-derived funds to Nigeria.

"The company outlined its anti-money laundering policy in a memo to state regulators, claiming it would cap first-time customer transactions at \$499, cap daily transactions at \$3,000, and cap monthly transactions at \$4,500. However, in plea papers, the company admitted it allowed more than 1,500 customers to violate these rules. In one instance, Ping allowed a customer to remit more than \$80,000 in a single month – more than 17 times the purported limit," - said a part of the statement.

The DoJ further disclosed that the company was guilty of conducting money transmission services in some US states where it was not licensed to operate.

"In two years, One of the Company's customers - Mr. Orogun received more than \$1.3 million in cash, cashier's checks, and wires into several U.S. bank accounts he controlled, and then quickly moved more than \$1 million of the funds to Africa through Ping. He faces up to 20 years in federal prison and is set to be sentenced on Jan. 23, 2023," part of the statement said.

Concluding Remarks, Contributions, Comments, Questions & Answers



Thank you



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